Goldman Sachs Research

Equity Research

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Netflix Inc. (NFLX)

Q2 2026 Earnings Preview: Framing Key Themes & Investor Debates

NFLX	12m Price Target: **$110.00**	Price: **$77.65**	Upside: **41.7%**

Ahead of its Q2 2026 earnings report, we preview current industry data and highlight trends in third party data and NFLX's content slate. In this note, we cover four key topics that we believe are of interest to investors going into Q2'26 earnings:

1. **The current state of the advertising business post the May Netflix Ad Upfront event** (link) - we see advertising revenues as a growing contributor to total revenues, scaling from ~$1.5bn in 2025 to ~$4.5bn in 2027E & ~$9.5bn by 2030;
2. **The evolution & impact of the live events broadcast strategy** – we see a rising mix of content and consumption trends anchored around signature live events (albeit the overall global efforts of the company have not yet achieved consistent scale quarter in and quarter out; we see the rising mix of live events as a key driver of both incremental user growth and critical for scaling advertising efforts;
3. **The opportunity for Netflix in vertical video** – new product initiative aimed at addressing strategic positioning relative to rising media consumption habit toward the form factor among younger users and potentially drive incremental platform engagement; &
4. **The impact of layering in the company's expanded buyback authorization (and any further upside potential)** - we refresh our base case model to reflect a roughly linear application of the remaining buyback authorization (of ~$31.8bn) over the next 2.5 years to align with the historical average of ~90% of annual FCF.

In terms of industry data, we frame the upcoming earnings report as likely to demonstrate a headwind to user growth (not reported) **and engagement** from a mixture of headwinds

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Key Data

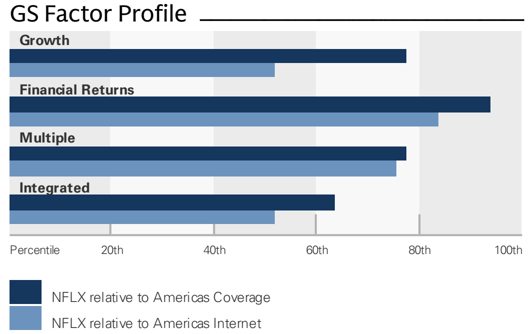
Market cap: $333.8bn
Enterprise value: $338.5bn
3m ADTV: $3.6bn
United States
Americas Internet
M&A Rank: 3

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue ($ mn) New	**45,183.0**	**51,664.2**	**58,593.9**	**65,816.3**
Revenue ($ mn) Old	45,183.0	51,664.2	58,593.9	65,816.3
EBITDA ($ mn)	14,647.4	17,067.2	20,631.3	24,563.9
EBIT ($ mn)	13,326.6	16,265.1	19,744.0	23,601.6
EPS ($) New	**2.53**	**3.60**	**3.94**	**4.89**
EPS ($) Old	2.53	3.60	3.89	4.74
P/E (X)	43.4	21.6	19.7	15.9
Dividend yield (%)	–	–	–	–
Net debt/EBITDA (X)	0.4	0.3	0.2	(0.2)

	3/26	6/26E	9/26E	12/26E
EPS ($)	1.23	0.78	0.84	0.75

GS Factor Profile



Source: Company data, Goldman Sachs Research estimates.
See disclosures for details.

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Netflix Inc. (NFLX)

Rating since Apr 5, 2026

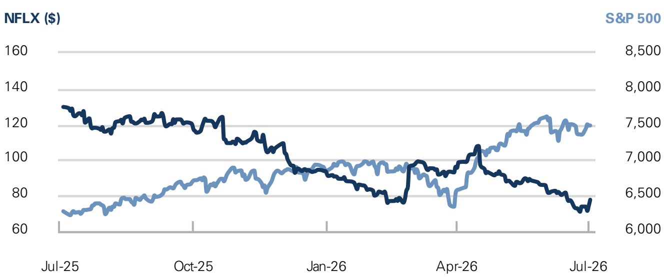
Ratios & Valuation

	12/25	12/26E	12/27E	12/28E
P/E (X)	43.4	21.6	19.7	15.9
EV/EBITDA (X)	32.2	19.3	15.4	12.2
EV/sales (X)	10.4	6.4	5.4	4.6
FCF yield (%)	2.0	4.0	4.4	5.7
EV/DACF (X)	41.7	21.4	19.9	15.5
CROCI (%)	37.1	49.7	47.8	54.3
ROE (%)	42.8	53.3	49.2	48.2
Net debt/EBITDA (X)	0.4	0.3	0.2	(0.2)
Net debt/equity (%)	20.4	15.2	9.5	(10.9)
Interest cover (X)	17.2	16.8	22.7	29.0
Inventory days	NM	NM	NM	NM
Receivable days	NM	NM	NM	NM
Days payable outstanding	14.1	13.2	13.2	13.5

Growth & Margins (%)

	12/25	12/26E	12/27E	12/28E
Total revenue growth	15.9	14.3	13.4	12.3
EBITDA growth	27.1	22.1	21.2	19.3
EPS growth	27.5	42.4	9.4	24.1
DPS growth	NM	NM	NM	NM
Gross margin	48.5	50.2	52.1	54.0
EBIT margin	29.5	31.5	33.7	35.9

Price Performance



	3m	6m	12m
Absolute	(21.3)%	(14.7)%	(39.6)%
Rel. to the S&P 500	(30.8)%	(21.8)%	(49.7)%

Source: FactSet. Price as of 2 Jul 2026 close.

Income Statement ($ mn)

	12/25	12/26E	12/27E	12/28E
Total revenue	45,183.0	51,664.2	58,593.9	65,816.3
Cost of goods sold	(23,275.3)	(25,709.6)	(28,048.9)	(30,295.0)
SG&A	(8,581.1)	(9,689.5)	(10,801.0)	(11,919.7)
R&D	–	–	–	–
Other operating inc./(exp.)	–	–	–	–
EBITDA	**13,660.0**	**16,684.2**	**20,229.1**	**24,141.6**
Depreciation & amortization	(333.4)	(419.1)	(485.1)	(539.9)
EBIT	**13,326.6**	**16,265.1**	**19,744.0**	**23,601.6**
Net interest inc./(exp.)	(776.5)	(966.6)	(870.7)	(812.5)
Income/(loss) from associates	–	–	–	–
Pre-tax profit	**12,722.6**	**18,356.8**	**19,091.0**	**23,036.3**
Provision for taxes	(1,741.4)	(3,035.8)	(2,863.7)	(3,455.4)
Minority interest	–	–	–	–
Preferred dividends	–	–	–	–
Net inc. (pre-exceptionals)	**10,981.2**	**15,321.1**	**16,227.4**	**19,580.8**
Net inc. (post-exceptionals)	**10,981.2**	**15,321.1**	**16,227.4**	**19,580.8**
EPS (basic, pre-except) ($)	**2.58**	**3.67**	**4.01**	**4.98**
EPS (diluted, pre-except) ($)	**2.53**	**3.60**	**3.94**	**4.89**
EPS (ex-ESO exp., dil.) ($)	**--**	**--**	**--**	**--**
DPS ($)	–	–	–	–
Div. payout ratio (%)	0.0	0.0	0.0	0.0
Wtd avg shares out. (basic) (mn)	4,249.5	4,179.8	4,044.6	3,930.5
Wtd avg shares out. (diluted) (mn)	4,343.9	4,255.4	4,120.3	4,006.1

Balance Sheet ($ mn)

	12/25	12/26E	12/27E	12/28E
Cash & cash equivalents	9,033.7	9,654.8	8,594.6	15,396.1
Accounts receivable	–	–	–	–
Inventory	–	–	–	–
Other current assets	3,986.5	4,554.6	5,147.3	5,777.6
Total current assets	**13,020.2**	**14,209.4**	**13,741.9**	**21,173.7**
Net PP&E	2,004.4	2,398.4	2,696.0	2,954.3
Net intangibles	32,778.4	35,363.6	38,155.5	40,927.6
Total investments	0.0	0.0	0.0	0.0
Other long-term assets	7,794.1	9,473.1	10,713.6	12,032.9
Total assets	**55,597.0**	**61,444.5**	**65,306.9**	**77,088.5**
Accounts payable	900.6	958.3	1,066.2	1,175.3
Short-term debt	998.9	–	–	–
Current lease liabilities	460.5	433.5	433.5	433.5
Other current liabilities	8,621.0	9,838.9	11,184.1	12,614.8
Total current liabilities	**10,980.9**	**11,230.7**	**12,683.9**	**14,223.5**
Long-term debt	13,464.0	14,360.5	11,942.5	10,342.5
Non-current lease liabilities	2,052.5	1,948.2	1,948.2	1,948.2
Other long-term liabilities	2,484.1	2,997.8	3,645.5	4,334.3
Total long-term liabilities	**18,000.6**	**19,306.5**	**17,536.2**	**16,625.0**
Total liabilities	**28,981.5**	**30,537.2**	**30,220.1**	**30,848.6**
Preferred shares	–	–	–	–
Total common equity	**26,615.5**	**30,907.3**	**35,086.8**	**46,239.9**
Minority interest	–	–	–	–
Total liabilities & equity	**55,597.0**	**61,444.5**	**65,306.9**	**77,088.5**
BVPS ($)	6.30	7.52	8.81	11.86

Cash Flow ($ mn)

	12/25	12/26E	12/27E	12/28E
Net income	10,981.2	15,321.1	16,227.4	19,580.8
D&A add-back	333.4	419.1	485.1	539.9
Minority interest add-back	–	–	–	–
Net (inc)/dec working capital	(456.2)	(752.2)	(568.9)	(610.8)
Others	(709.1)	(1,231.5)	(1,553.1)	(1,460.2)
Cash flow from operations	**10,149.3**	**13,756.4**	**14,590.4**	**18,049.7**
Capital expenditures	(688.2)	(767.3)	(782.6)	(798.3)
Acquisitions	–	–	–	–
Divestitures	–	–	–	–
Others	1,747.1	–	–	–
Cash flow from investing	**1,041.7**	**(1,353.0)**	**(782.6)**	**(798.3)**
Dividends paid	–	–	–	–
Share issuance/(repurchase)	(8,460.2)	(11,721.3)	(12,450.0)	(8,850.0)
Inc/(dec) in debt	(1,833.5)	–	(2,418.0)	(1,600.0)
Others	383.6	(51.4)	–	–
Cash flow from financing	**(9,962.0)**	**(11,782.2)**	**(14,868.0)**	**(10,450.0)**
Total cash flow	**1,228.9**	**621.2**	**(1,060.2)**	**6,801.5**
Free cash flow	9,461.1	12,989.1	13,807.8	17,251.5
Free cash flow per share (basic) ($)	2.23	3.11	3.41	4.39

Source: Company data, Goldman Sachs Research estimates.

Table of Contents

(seasonality, content slate & being further removed from live event impact). Based on Sensor Tower data, Netflix monthly active users declined to a similar degree globally (-3% YoY) and in the US (-3% YoY). Netflix prices remained stable across the key markets we track in Q2. While we expect the ad-supported ARM to remain dilutive to overall ARM in 2026, we believe this gap should continue to close throughout the year (against the company's outlook for ad revenues to roughly ~double YoY). At the same time, we believe Netflix will continue to raise prices on a global basis over a multi-year time horizon. In terms of its top 20 markets, NFLX experienced YoY and QoQ App MAU trends in the top 20 markets were mostly negative in Q2'26 (with Japan being a notable positive standout in the quarter, growing app-based MAUs +49% YoY).

Time spent in both the US and globally declined on a YoY basis (-8%/-7% YoY for the quarter, respectively). In addition, Q2 '26 had a solid title slate (124 original titles with several returning seasons and notable series), though we note based on available data that this slate was ~17% smaller than Q2' 25 (in terms of number of titles launching). In total, we see this mixture of operating data (if confirmed by the company's earnings report) as likely sustaining the current investor debate over competitive positioning and user engagement as headwinds. For the compelling risk/reward of the shares from current levels to be more appreciated by investors, we see a need for an abatement in this theme.

We make the following changes to our forward estimates: a) raise expected share buybacks (completing its newly increased existing authorization over the next 2.5 years) & b) update share count for the latest company filing. Outside of these changes, we make no other operating estimate changes as we believe that NFLX's guidance (provided during the last earnings report) envisioned many of the above operating trends. Despite some of the (in our view) short-term headwinds from seasonal effects and live event impact on subscriber growth and engagement levels, we think that a 2H slate of originals and live events as well as a consistent execution against the broader landscape (including the rising impact of its advertising tier monetization levels) leaves NFLX as a compelling risk/reward from current levels. **We reiterate our Buy rating on the shares and lower our 12-month price target from $120 to $110 to reflect a recent correction in the multiples-to-growth ratio for our wider coverage universe.**

Topics in focus ahead of Q2'26 earnings

We cover four key topics that we believe are of interest to investors going into Q2'26 earnings: 1) the current state of the **advertising** business post the Netflix Upfront event; 2) the evolution & impact of the **live events** broadcast strategy; 3) the opportunity for Netflix in **vertical video**; and 4) the impact of layering in the company's expanded **buyback** authorization (and any further upside potential).

Framing the Forward Advertising Growth Engine

We see advertising revenues as a growing contributor to total revenues, scaling from ~$1.5bn in 2025 to ~$4.5bn in 2027E & ~$9.5bn by 2030E. We see Netflix as well positioned to capitalize on several tailwinds in the coming years: (a) a healthy industry backdrop (with connected TV/streaming AVOD growing at a ~mid-teens % 5-year CAGR globally ex-China and capturing share of linear TV ad budgets); (b) investments in live content / large "tentpole" events (NFL, MLB, WWE, etc.) that supports ad monetization above scripted content (discussed more below); & (c) continued development of Netflix's ad tech (measurement/attribution, programmatic ad buying incl. through 3P DSP partnerships, new ad formats; etc.).

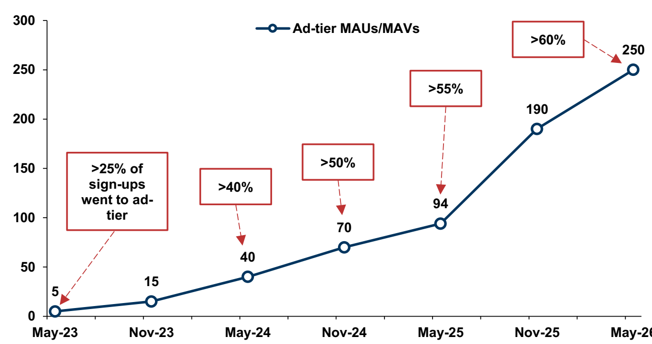
Find more updates on the state of Netflix ad-supported users & engagement, the Ad Suite, and the content slate in our Upfront Event takeaways note here (first published May 15, 2026).

Exhibit 1: Estimates of total ad-supported subs
mm

	2024E	2025E	2026E
Total Ad-Supported MAVs (YE)	140.0	190.0	280.0
% y/y growth	*204.3%*	*35.7%*	*47.4%*
No. of MAVs per Member HH	2.0	2.0	2.0
Total Ad-Supported MAUs (YE)	70.0	95.0	140.0
% y/y growth	*204.3%*	*35.7%*	*47.4%*
No. of MAUs per Subscription	2.0	2.0	2.0
Total Ad-Supported Subs (YE)	35.0	47.5	70.0

Source: Company data, Goldman Sachs Global Investment Research

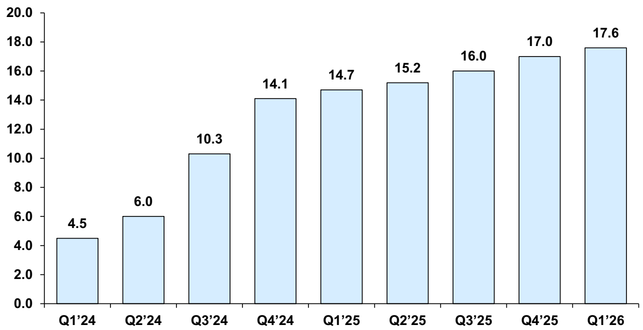
Exhibit 2: Netflix ad-supported tier global MAUs/MAVs
mm



In late 2025, Netflix switched its primary engagement metric from MAUs (users) to MAVs (viewers) to account for co-viewers on the same account.

Source: Company data

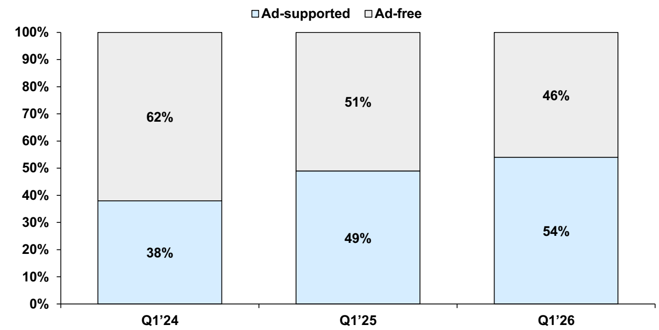
Exhibit 3: Netflix US ad-supported subscribers
mm, estimated



US only, excludes free tiers, MVPD+telco distribution, and select bundles

Source: Antenna, Goldman Sachs Global Investment Research

Exhibit 4: Share of US gross ads by Netflix plan tier



US only, excludes free tiers, MVPD+telco distribution, and select bundles

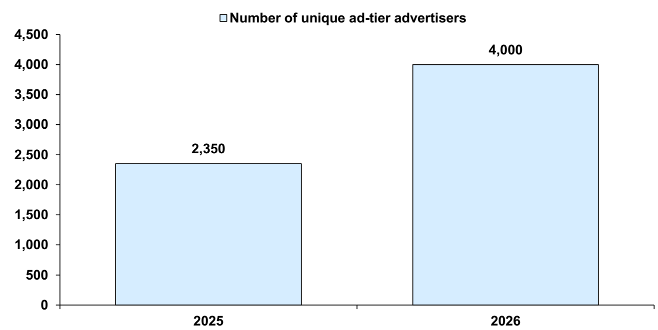
Source: Antenna, Goldman Sachs Global Investment Research

Exhibit 5: The company announced that the Netflix Ad Suite, its proprietary ad tech platform, will be expanding to 15 new countries in 2027
Netflix ad-supported markets (launched vs upcoming)

Launched in 2022		Coming in 2027	
Country	Region	Country	Region
Australia	APAC	Indonesia	APAC
Japan	APAC	New Zealand	APAC
South Korea	APAC	Philippines	APAC
United Kingdom	EMEA	Thailand	APAC
France	EMEA	Austria	EMEA
Germany	EMEA	Belgium	EMEA
Italy	EMEA	Denmark	EMEA
Spain	EMEA	Ireland	EMEA
Mexico	LATAM	Netherlands	EMEA
Brazil	LATAM	Norway	EMEA
United States	UCAN	Poland	EMEA
Canada	UCAN	Sweden	EMEA
		Switzerland	EMEA
		Colombia	LATAM
		Peru	LATAM

Source: Company data

Exhibit 6: Unique advertisers in the ad-supported tier



Source: Company data

Exhibit 7: Our current estimates imply advertising revenues to grow at a ~45 % 5-year CAGR

GSe Netflix Subscription Revenues, Paid Subs & ARM by Region

Netflix (GSe, millions)	2024E	2025E	2026E	2027E	2028E	2029E	2030E	5-Yr CAGR
Total Revenues	**$ 39,001**	**$ 45,183**	**$ 51,664**	**$ 58,594**	**$ 65,816**	**$ 73,432**	**$ 81,375**	***12.5%***
% y/y growth	*15.6%*	*15.9%*	*14.3%*	*13.4%*	*12.3%*	*11.6%*	*10.8%*	
Subscription Revs - Total	**$ 38,401**	**$ 43,683**	**$ 48,664**	**$ 54,094**	**$ 59,516**	**$ 65,557**	**$ 71,925**	***10.5%***
% y/y growth	*14.7%*	*13.8%*	*11.4%*	*11.2%*	*10.0%*	*10.1%*	*9.7%*	
UCAN	$ 16,897	$ 18,877	$ 20,548	$ 22,633	$ 24,313	$ 26,229	$ 28,208	*8.4%*
% y/y growth	*15.2%*	*11.7%*	*8.9%*	*10.1%*	*7.4%*	*7.9%*	*7.5%*	
% of total	*44.0%*	*43.2%*	*42.2%*	*41.8%*	*40.9%*	*40.0%*	*39.2%*	
EMEA	$ 12,320	$ 14,327	$ 16,214	$ 18,113	$ 20,145	$ 22,334	$ 24,626	*11.4%*
% y/y growth	*17.0%*	*16.3%*	*13.2%*	*11.7%*	*11.2%*	*10.9%*	*10.3%*	
% of total	*32.1%*	*32.8%*	*33.3%*	*33.5%*	*33.8%*	*34.1%*	*34.2%*	
LATAM	$ 4,807	$ 5,238	$ 5,892	$ 6,491	$ 7,212	$ 7,991	$ 8,778	*10.9%*
% y/y growth	*8.3%*	*9.0%*	*12.5%*	*10.2%*	*11.1%*	*10.8%*	*9.8%*	
% of total	*12.5%*	*12.0%*	*12.1%*	*12.0%*	*12.1%*	*12.2%*	*12.2%*	
APAC	$ 4,377	$ 5,241	$ 6,010	$ 6,857	$ 7,846	$ 9,002	$ 10,313	*14.5%*
% y/y growth	*16.7%*	*19.7%*	*14.7%*	*14.1%*	*14.4%*	*14.7%*	*14.6%*	
% of total	*11.4%*	*12.0%*	*12.3%*	*12.7%*	*13.2%*	*13.7%*	*14.3%*	
Advertising Revs - Total	**$ 600**	**$ 1,500**	**$ 3,000**	**$ 4,500**	**$ 6,300**	**$ 7,875**	**$ 9,450**	***44.5%***
% y/y growth	*140.0%*	*150.0%*	*100.0%*	*50.0%*	*40.0%*	*25.0%*	*20.0%*	
Advertising Revenues - UCAN	$ 462	$ 1,080	$ 2,010	$ 2,790	$ 3,906	$ 4,883	$ 5,859	
% y/y growth	*125.4%*	*133.8%*	*86.1%*	*38.8%*	*40.0%*	*25.0%*	*20.0%*	
% of total	*77.0%*	*72.0%*	*67.0%*	*62.0%*	*62.0%*	*62.0%*	*62.0%*	
Advertising Revenues - EMEA	$ 68	$ 188	$ 413	$ 675	$ 945	$ 1,181	$ 1,418	
% y/y growth	*170.0%*	*177.8%*	*120.0%*	*63.6%*	*40.0%*	*25.0%*	*20.0%*	
% of total	*11.3%*	*12.5%*	*13.8%*	*15.0%*	*15.0%*	*15.0%*	*15.0%*	
Advertising Revenues - LATAM	$ 33	$ 120	$ 315	$ 585	$ 819	$ 1,024	$ 1,229	
% y/y growth	*340.0%*	*263.6%*	*162.5%*	*85.7%*	*40.0%*	*25.0%*	*20.0%*	
% of total	*5.5%*	*8.0%*	*10.5%*	*13.0%*	*13.0%*	*13.0%*	*13.0%*	
Advertising Revenues - APAC	$ 38	$ 113	$ 263	$ 450	$ 630	$ 788	$ 945	
% y/y growth	*200.0%*	*200.0%*	*133.3%*	*71.4%*	*40.0%*	*25.0%*	*20.0%*	
% of total	*6.3%*	*7.5%*	*8.8%*	*10.0%*	*10.0%*	*10.0%*	*10.0%*	
Paid Subscribers (YE, mm)								
Paid Subscribers - Total	**301.6**	**329.0**	**352.8**	**376.3**	**397.0**	**416.7**	**434.6**	***5.7%***
% y/y growth	*15.9%*	*9.1%*	*7.2%*	*6.7%*	*5.5%*	*5.0%*	*4.3%*	
UCAN	89.6	95.0	99.8	103.7	107.4	110.6	113.4	*3.6%*
% y/y growth	*11.9%*	*6.0%*	*5.0%*	*4.0%*	*3.5%*	*3.0%*	*2.5%*	
EMEA	101.1	109.2	115.8	121.6	127.0	132.1	136.7	*4.6%*
% y/y growth	*13.9%*	*8.0%*	*6.0%*	*5.0%*	*4.5%*	*4.0%*	*3.5%*	
LATAM	53.3	59.7	65.7	72.3	78.1	83.5	88.5	*8.2%*
% y/y growth	*15.9%*	*12.0%*	*10.0%*	*10.0%*	*8.0%*	*7.0%*	*6.0%*	
APAC	57.5	65.0	71.5	78.7	84.6	90.5	95.9	*8.1%*
% y/y growth	*26.9%*	*13.0%*	*10.0%*	*10.0%*	*7.5%*	*7.0%*	*6.0%*	
Subscription ARM* ($)								
Subscription ARM - Total	**$ 136.68**	**$ 138.54**	**$ 142.77**	**$ 148.40**	**$ 153.93**	**$ 161.12**	**$ 168.98**	***4.1%***
% y/y growth	*n/a*	*1.4%*	*3.0%*	*3.9%*	*3.7%*	*4.7%*	*4.9%*	
UCAN	$ 199.08	$ 204.49	$ 211.02	$ 222.44	$ 230.33	$ 240.67	$ 251.91	*4.3%*
% y/y growth	*n/a*	*2.7%*	*3.2%*	*5.4%*	*3.5%*	*4.5%*	*4.7%*	
EMEA	$ 129.72	$ 136.22	$ 144.13	$ 152.63	$ 162.06	$ 172.36	$ 183.19	*6.1%*
% y/y growth	*n/a*	*5.0%*	*5.8%*	*5.9%*	*6.2%*	*6.4%*	*6.3%*	
LATAM	$ 96.79	$ 92.66	$ 93.95	$ 94.09	$ 95.96	$ 98.92	$ 102.05	*2.0%*
% y/y growth	*n/a*	*-4.3%*	*1.4%*	*0.2%*	*2.0%*	*3.1%*	*3.2%*	
APAC	$ 85.10	$ 85.53	$ 88.02	$ 91.31	$ 96.12	$ 102.84	$ 110.65	*5.3%*
% y/y growth	*n/a*	*0.5%*	*2.9%*	*3.7%*	*5.3%*	*7.0%*	*7.6%*	

*"Subscription ARM" = GSe average non-advertising revenues per paid subscriber; GS estimates and not a company reported figure.

Source: Company data, Goldman Sachs Global Investment Research

Live Events Build in Scale as Engine for User and Ads Growth

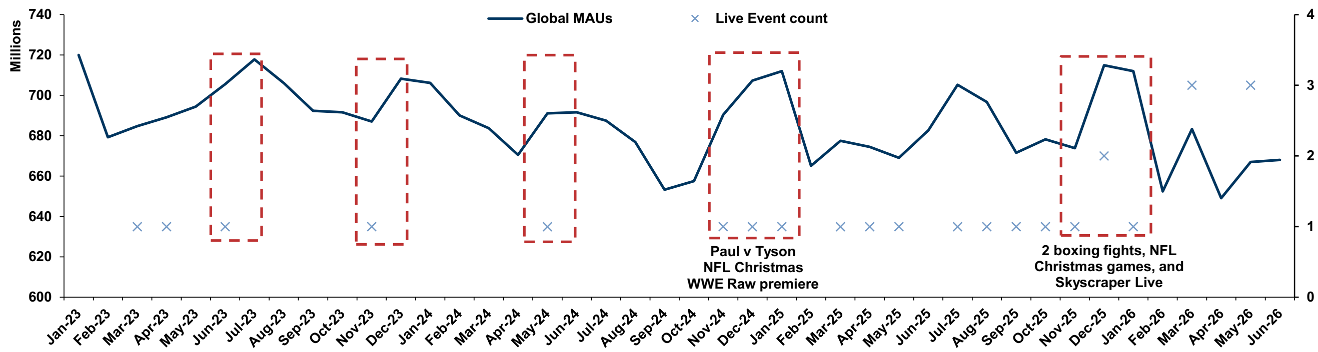
Netflix's live strategy appears to have evolved from a small-scale technical experiment into a more deliberate engagement layer on top of its standard pipeline. We are increasingly of the view that incremental user growth for Netflix (and how transient or permanent these new users are) will come down to live event offerings that feel like appointment viewing (see Exhibit 8). This aligns with our expectations for relatively more seasonality in users & engagement versus historical trends, and could make growth more dependent on the content tonnage that Netflix is able to accrue and compound (at consistent "always on" scale) in live events.

Our key takeaways from how Netflix has built out its live strategy:

- **Live programming has evolved from testing in 2023 to scaled tentpoles in 2024 and recurring / diversified events in 2025.** The earliest phase of live events broadcasts in 2023 was exploratory: a live Chris Rock stand-up special, an attempted Love Is Blind reunion (with some technical issues), the TUDUM fan event, and the Netflix Cup (sports-focused). These were not yet a coherent live strategy as much as proof points around whether Netflix could safely create appointment-viewing moments inside an on-demand product. The 2024 slate marked a meaningful step-up, with NFL Christmas games and the Jake Paul vs. Mike Tyson fight demonstrating that Netflix could attach live distribution to true cultural tentpoles. In 2025, live programming became more diversified and repeatable, expanding beyond one-off specials into weekly programming through WWE RAW, seasonal live talk programming with John Mulaney, reality extensions, fan events, tennis, boxing, and NFL holiday programming. So far in 2026, Netflix is already expanding the live-event toolkit into MLB, awards shows, live concerts, stunt programming, comedy roasts, and more.
- **The annual slate cadence shows live events clustering in 3Q/4Q, overlapping with the strongest scripted and franchise window.** The result is a hopefully more resilient engagement architecture, where scripted drives baseline viewing, while live events create appointment-viewing spikes and marketing amplification (See Exhibit 8). For more details across the content pipeline, see our full slate charts in the next section.
- **Netflix's model is still event-led rather than full-sports-bundle-led**, as is often cited by management. The company's rights activity points toward selective, high-impact events (like a Jake Paul fight, or Skyscraper live, or a Christmas NFL game) rather than expensive season-long rights packages (i.e. NFLX reportedly passed on US F1 full-season media rights, but simulcast the Canadian GP in partnership with Apple TV).

Exhibit 8: Spikes in global MAU trends tend to follow periods of one or more major live events on Netflix; that said, live events in Q2'26 do not appear to have had the same effect

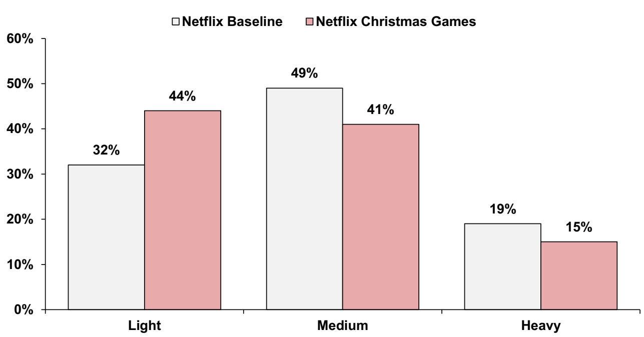
Global MAUs (mm, left axis) and Live event count (right axis)



Source: Sensor Tower, Company data, Goldman Sachs Global Investment Research

Exhibit 9: Christmas Day Games activated Netflix Light viewers

Netflix NFL Christmas Day Games Audience Composition (% of viewers)



Source: Antenna

Exhibit 10: Netflix live events, 2023-Present

Year	Month	Quarter	Title	Category
2023	Mar	1Q23	Chris Rock: Selective Outrage	Talk/Comedy
2023	Apr	2Q23	Love Is Blind: Reunion	Reality
2023	Jun	2Q23	TUDUM 2023: A Global Fan Event	Fan/Platform
2023	Nov	4Q23	The Netflix Cup	Sports
2024	May	2Q24	John Mulaney Presents: Everybody's in LA	Talk/Comedy
2024	Nov	4Q24	Jake Paul vs. Mike Tyson	Sports
2024	Dec	4Q24	NFL Christmas Gameday	Sports
2025	Jan	1Q25	WWE RAW	Sports
2025	Mar	1Q25	Everybody's Live with John Mulaney	Talk/Comedy
2025	Apr	2Q25	Pop the Balloon LIVE	Reality
2025	May	2Q25	Netflix TUDUM 2025	Fan/Platform
2025	Jul	3Q25	Katie Taylor vs. Amanda Serrano 3	Sports
2025	Aug	3Q25	Dinner Time Live with David Chang	Talk/Comedy
2025	Sep	3Q25	Canelo Álvarez vs. Terence Crawford	Sports
2025	Oct	4Q25	Six Kings Slam 2025	Sports
2025	Nov	4Q25	Jake Paul vs. Tank Davis	Sports
2025	Dec	4Q25	Jake vs. Joshua: Judgment Day	Sports
2025	Dec	4Q25	Christmas Game Day — NFL Games	Sports
2026	Jan	1Q26	Skyscraper Live	Reality
2026	Mar	1Q26	The Actor Awards Presented by SAG-AFTRA	Fan/Platform
2026	Mar	1Q26	BTS THE COMEBACK LIVE | ARIRANG	Fan/Platform
2026	Mar	1Q26	MLB Opening Night: Yankees vs. Giants	Sports
2026	May	2Q26	Ronda Rousey vs. Gina Carano	Sports
2026	May	2Q26	The Roast of Kevin Hart	Talk/Comedy
2026	May	2Q26	F1 Canadian Grand Prix	Sports

This list may not be exhaustive. WWE Raw premiered in Jan 2025 and is a weekly program.

Source: Company data, Data compiled by Goldman Sachs Global Investment Research

Exhibit 11: Live event types & examples

Live Event Type	Definition	Examples	Strategic Read-Through
Sports	Traditional sporting events streamed live	NFL Christmas games, MLB Opening Day, Six Kings Slam, boxing events	Highest potential for broad reach, ad demand, and appointment viewing; closest proxy for sports rights without full-season commitments.
Sports Entertainment	Hybrid sport / scripted entertainment formats	WWE RAW	Adds recurring weekly habit formation; more predictable cadence than one-off sports
Talk/Comedy	Live comedy specials, talk shows, roasts, variety formats	Chris Rock, John Mulaney, Kevin Hart roast	Lower-cost live experimentation; reinforces Netflix's comedy ecosystem.
Reality	Reality reunions, dating formats, competition specials	Love Is Blind reunion, Pop the Balloon, Skyscraper Live	Extends reality IP into appointment-viewing moments; useful for fandom and social-media amplification.
Fan/Platform Events	Slate showcases and fan events, awards shows, concerts	TUDUM, The Actor Awards, BTS The Comeback	Marketing-oriented live programming; supports platform engagement and franchise promotion.

Source: Company data, Goldman Sachs Global Investment Research

Embracing Vertical Video to Meet Shifting Media Habits

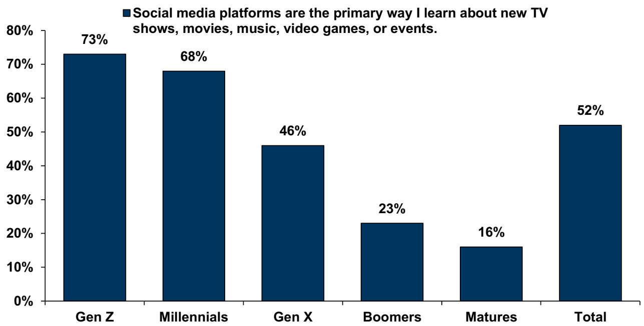
Netflix's push into vertical short-form video ("Clips") reflects an effort to tap into the surging short-video ad market (dominated by TikTok, Meta Reels, & YouTube shorts) and diversify its engagement model as media consumption habits evolve (especially with Gen Z). Netflix's new feed, which rolled out in select markets globally in April 2026, positions the company to incrementally monetize these fast-growing viewing behaviors within its own ecosystem.

For context, Netflix has launched similar functionalities in the past in the form of "Previews" in 2018 and "Fast Laughs" in 2021, but "Clips" is meant to include all genres and emphasizes personalization. Rather than building a user-generated content (UGC) platform, Netflix's vertical feed is a curated highlight reel drawn from its own shows and movies, enticing viewers into a full episode or film to drive further engagement. We expect the intent is to boost content discovery, engagement, and retention by broadening out the Netflix experience (the mobile app's UI now even opens to a vertical feed by default, mimicking social media).

By offering short video highlights (e.g., comedic scenes, behind-the-scenes clips, "micro-episodes" under 10 minutes) within its service, Netflix hopes to engage younger viewers (especially Gen Z and Millennials) more frequently on mobile and guide them to more full-length content. Survey data underscores the need: fans (44%, rising to 57% among Gen Z) often discover entertainment via social/short videos, then head to other platforms to watch the full content, meaning streaming services miss out on conversion opportunities (see Exhibit 13). By filling that gap, Netflix's integrated short-form strategy could convert casual interest into subscriber retention or sign-ups on Netflix itself.

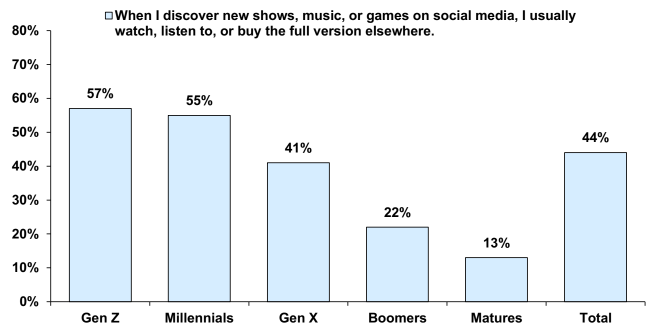
The company's 2026 Upfront Event (link) explicitly highlighted short-form vertical feeds and video podcasts as new ad inventory that would open to advertisers in 2027. By deploying a scrollable clips feed, Netflix expands its supply of ad impressions beyond traditional show breaks. As usage grows, advertisers get access to Netflix's premium environment plus short-form scale, potentially commanding higher CPMs from brand advertisers eager to reach those elusive young audiences, supporting growth in ad-supported revenue (which is projected to contribute ~$3bn or ~6% of revenue in 2026). In this way, Netflix's vertical video pivot is a measured bet on capturing new consumer attention and ad budgets, while also strengthening its subscriber value proposition in a maturing streaming market.

Exhibit 12: A majority of fans now learn about new content via social media
% of fans who agree with the following statement



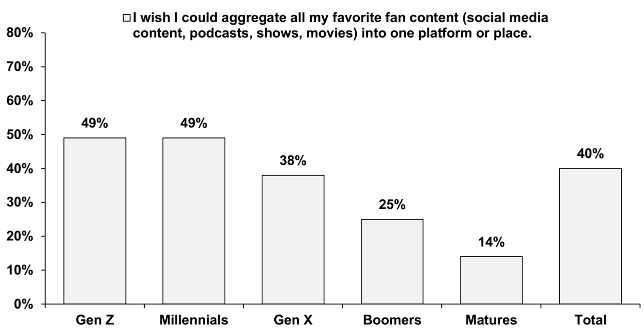
Source: Deloitte Digital Media Trends

Exhibit 13: There may be missed conversion opportunities where fans learn about content on one platform and consume it on another
% of fans who agree with the following statement



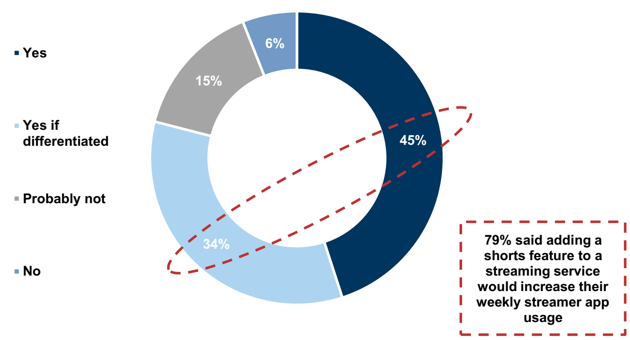
Source: Deloitte Digital Media Trends

Exhibit 14: Fans seem open to the idea of having content discovery & consumption on the same platform...
% of fans who agree with the following statement



Source: Deloitte Digital Media Trends

Exhibit 15: ... with 79% of survey respondents agreeing that adding a shorts feature to a streaming service would increase their engagement.



Answer to survey question: If offered a free, short form content offering and experience within its app, would this be likely to increase your weekly use of the app?

Source: Toluna, eMarketer

Share Buybacks

Following its Q1'26 earnings call (on Apr 23), management announced an additional $25B share buyback authorization on top of the $6.8B remaining as of Q1 earnings, for a total buyback authorization of $31.8B. We view this as a return-to-normal post their ~2-year pause on the buyback program during the M&A process surrounding WBD (Netflix walked away from the deal). Management has consistently emphasized buybacks as an effective use of excess capital, repurchasing a cumulative ~$23bn since 2023 (or an average of ~90% of annual FCF).

We refresh our base case model to reflect a roughly linear application of the remaining buyback authorization (of ~$31.8bn) over the next 2.5 years to align with the historical average of ~90% of annual FCF, as seen in the chart below. We also provide an analysis for potential future buybacks and resulting potential upside to GAAP EPS over the next several years. The two scenarios flex future potential buybacks as a % of annual FCF and as a % of prior year ended cash balance (including the M&A termination fee of ~$2.8bn received from PSKY/WBD)- should management return to a pace of buyback activity that is consistent with recent years, we see the potential for NFLX to repurchase ~20-30% of its current market cap over the next 5 years (or a ~L-MSD % tailwind to our base case GAAP EPS estimates in out-years).

Exhibit 16: We see the potential for NFLX to repurchase ~20-30% of its current market cap over the next 5 years (or a ~L-MSD % tailwind to our base case GAAP EPS estimates)

NFLX Share Buyback Analysis

Netflix Share Repurchase Analysis ($mm)

Historical Average	2023	2024	2025	
Ending Cash & ST Investments	**$ 7,138**	**$ 9,584**	**$ 9,062**	
Free Cash Flow	**$ 6,926**	**$ 6,922**	**$ 9,461**	
% y/y growth	*327.9%*	*-0.1%*	*36.7%*	
Share Buybacks	**$ 6,045**	**$ 6,264**	**$ 9,127**	**Avg.**
% of FCF	*87.3%*	*90.5%*	*96.5%*	***91.4%***
% of prior year cash & ST investments	*99.8%*	*87.8%*	*95.2%*	***94.3%***

GSe Base Case: Remaining Authorization	2025	2026E	2027E	2028E	2029E	2030E
Free Cash Flow	**$ 9,461**	**$ 12,989**	**$ 13,808**	**$ 17,251**	**$ 22,022**	**$ 25,616**
% y/y growth	*36.7%*	*37.3%*	*6.3%*	*24.9%*	*27.7%*	*16.3%*
Total Share Buybacks	**$ 9,127**	**$ 11,771**	**$ 12,450**	**$ 8,850**	**$ -**	**$ -**
% of FCF	*96.5%*	*90.6%*	*90.2%*	*51.3%*	*0.0%*	*0.0%*
Stock Price*	$ 109.48	$ 89.67	$ 95.81	$ 102.69	$ 110.07	$ 117.98
Avg. Diluted Shares - GSe	**4,344**	**4,255**	**4,120**	**4,006**	**3,978**	**3,982**
Shares Repurchased - GSe	83	131	130	86	-	-
GAAP Net Income - GSe	$ 10,981	$ 15,321	$ 16,227	$ 19,581	$ 23,473	$ 27,617
GAAP EPS - GSe	**$ 2.53**	**$ 3.60**	**$ 3.94**	**$ 4.89**	**$ 5.90**	**$ 6.94**

Scenario A: % of Annual FCF	2025	2026E	2027E	2028E	2029E	2030E
Free Cash Flow	**$ 9,461**	**$ 12,989**	**$ 13,808**	**$ 17,251**	**$ 22,022**	**$ 25,616**
% y/y growth	*36.7%*	*37.3%*	*6.3%*	*24.9%*	*27.7%*	*16.3%*
Total Share Buybacks	**$ 9,127**	**$ 11,874**	**$ 12,623**	**$ 15,771**	**$ 20,132**	**$ 23,417**
Buybacks from FCF	$ 9,127	$ 11,874	$ 12,623	$ 15,771	$ 20,132	$ 23,417
% of FCF	*96.5%*	*91.4%*	*91.4%*	*91.4%*	*91.4%*	*91.4%*
Avg. Diluted Shares - GSe	4,344	4,255	4,120	4,006	3,978	3,982
Shares Repurchased - GSe	83	131	130	86	-	-
Shares Repurchased - Scenario A	83	132	132	154	183	198
Avg. Diluted Shares - Scenario A	**4,344**	**4,254**	**4,118**	**3,939**	**3,795**	**3,784**
GAAP Net Income - GSe	$ 10,981	$ 15,321	$ 16,227	$ 19,581	$ 23,473	$ 27,617
GAAP EPS - Scenario A	**$ 2.53**	**$ 3.60**	**$ 3.94**	**$ 4.97**	**$ 6.18**	**$ 7.30**
% upside vs. GSe		***0.0%***	***0.0%***	***1.7%***	***4.8%***	***5.2%***

Scenario B: % of Prior YE Cash (+ M&A Termination Fee)	2025	2026E	2027E	2028E	2029E	2030E
Ending Cash & ST Investments - GSe	$ 9,062	$ 9,684	$ 8,623	$ 15,425	$ 31,340	$ 54,757
Buybacks - GSe	$ 9,127	$ 11,771	$ 12,450	$ 8,850	$ -	$ -
Buybacks - Scenario B	$ 9,127	$ 11,342	$ 9,531	$ 10,879	$ 12,626	$ 17,639
Ending Cash & ST Investments - Scenario B	**$ 9,062**	**$ 10,112**	**$ 11,542**	**$ 13,396**	**$ 18,714**	**$ 37,118**
Total Share Buybacks	**$ 9,127**	**$ 11,342**	**$ 9,531**	**$ 10,879**	**$ 12,626**	**$ 17,639**
Buybacks from Cash Balance	$ 9,127	$ 8,542	$ 9,531	$ 10,879	$ 12,626	$ 17,639
% of prior year ending cash & ST investments	*95.2%*	*94.3%*	*94.3%*	*94.3%*	*94.3%*	*94.3%*
Buybacks from M&A Termination Fee	$ -	$ 2,800	$ -	$ -	$ -	$ -
Avg. Diluted Shares - GSe	4,344	4,255	4,120	4,006	3,978	3,982
Shares Repurchased - GSe	83	131	130	86	-	-
Shares Repurchased - Scenario B	83	126	99	106	115	150
Avg. Diluted Shares - Scenario B	**4,344**	**4,260**	**4,151**	**3,986**	**3,864**	**3,833**
GAAP Net Income - GSe	$ 10,981	$ 15,321	$ 16,227	$ 19,581	$ 23,473	$ 27,617
GAAP EPS - Scenario B	**$ 2.53**	**$ 3.60**	**$ 3.91**	**$ 4.91**	**$ 6.08**	**$ 7.21**
% upside vs. GSe		***-0.1%***	***-0.7%***	***0.5%***	***3.0%***	***3.9%***

Market Cap Analysis	Base Case	Scen. A	Scen. B
Current Market Cap	$ 304,759	$ 304,759	$ 304,759
Cumulative Buybacks (2026-2030E)	$ 33,071	$ 83,817	$ 62,018
% of Current Market Cap	***10.9%***	***27.5%***	***20.3%***

*Future stock price assumes average share price appreciation of 7% per year (consistent with broader coverage)

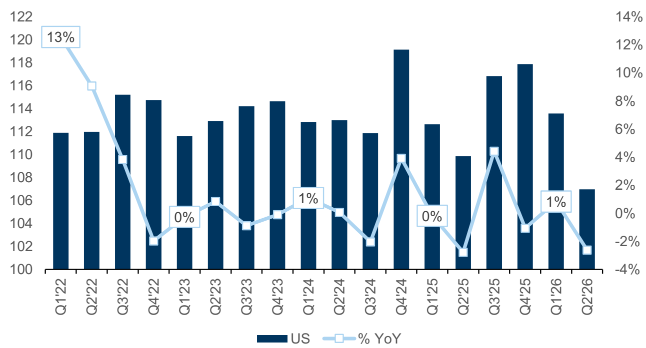
Source: Company data, Goldman Sachs Global Investment Research

Utilizing Data To Analyze Quarterly Operating Performance

Muted Global App User Trends in Q2'26

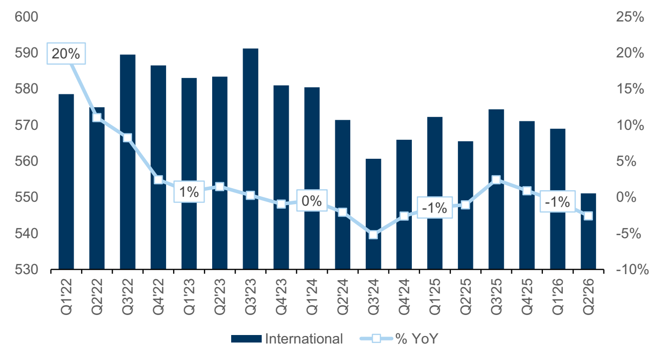
To provide a quarterly health check of Netflix's sub growth, we leverage Sensor Tower data to track Netflix iOS & Android app download rankings across Netflix's major markets. We believe these data points are useful for flagging inflection points in country-specific and overall subscriber trends. Based on Sensor Tower data, Netflix monthly active users declined to a similar degree globally (-3% YoY) and in the US (-3% YoY).

Exhibit 17: US App MAUs
mm



Source: Sensor Tower, Data compiled by Goldman Sachs Global Investment Research

Exhibit 18: International App MAUs
mm



Source: SensorTower, Data compiled by Goldman Sachs Global Investment Research

The top 20 markets share of total MAUs remained relatively stable in Q2'26. In 2026 YTD, Japan & India MAUs increased as a % of total global MAUs while Phillippines & the US ceded share of total global MAUs.

Exhibit 19: Country Share of Global Netflix App MAUs

Country Share	2023	2024	2025	2026 YTD	Chg (bps)	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26
United States	16%	17%	17%	16%	-19	16%	16%	16%	16%	17%	17%	17%	17%	17%	17%	17%	17%	16%	16%	16%
India	12%	13%	13%	13%	78	12%	13%	13%	13%	12%	12%	13%	13%	13%	13%	13%	13%	14%	13%	14%
Brazil	12%	12%	11%	11%	-13	11%	11%	11%	11%	11%	11%	11%	11%	11%	11%	11%	11%	11%	11%	11%
Mexico	6%	6%	6%	6%	5	6%	6%	6%	6%	6%	6%	6%	6%	6%	6%	6%	6%	6%	6%	6%
Philippines	3%	3%	3%	3%	-34	4%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
United Kingdom	3%	3%	3%	3%	-1	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
France	3%	3%	3%	3%	0	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
Indonesia	2%	3%	3%	3%	25	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
Germany	3%	3%	3%	3%	9	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%	3%
South Korea	2%	2%	2%	3%	13	2%	2%	3%	2%	3%	3%	2%	3%	3%	3%	3%	3%	3%	2%	3%
Argentina	3%	2%	2%	2%	-1	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Turkey	2%	2%	2%	2%	-16	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Italy	2%	2%	2%	2%	-3	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Spain	2%	2%	2%	2%	8	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Canada	2%	2%	2%	2%	4	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Colombia	2%	2%	2%	2%	-13	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Thailand	1%	1%	2%	2%	-4	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%
Japan	1%	1%	2%	2%	68	2%	1%	2%	1%	1%	2%	2%	1%	1%	2%	2%	2%	3%	2%	2%
South Africa	1%	2%	2%	1%	-14	2%	2%	2%	2%	2%	2%	2%	2%	2%	2%	1%	1%	1%	1%	1%
Pakistan	1%	1%	1%	1%	-5	1%	1%	1%	1%	2%	1%	2%	1%	1%	1%	1%	1%	1%	1%	1%
RoW	19%	19%	18%	17%	-88	18%	18%	18%	18%	18%	18%	18%	17%	17%	17%	17%	17%	17%	17%	17%

Source: Sensor Tower, Data compiled by Goldman Sachs Global Investment Research

Netflix prices remained stable across the key markets we track in Q2. While we expect the ad-supported ARM to remain dilutive to overall ARM in 2026, we believe this gap should continue to close throughout the year (against the company's outlook for ad revenues to roughly ~double YoY). At the same time, we believe Netflix will continue to raise prices on a global basis over a multi-year time horizon.

Exhibit 20: Q2 '26 Price Increases
% QoQ

Country	Currency	Currency	AVOD	% change	Basic	% change	Standard	% change	Premium	% change
Argentina		ARS			8,999	0%	14,999	0%	19,999	0%
Canada		CAD	7.99	0%			18.99	0%	23.99	0%
Croatia		EUR			5.99	0%	9.99	0%	12.99	0%
Dominican Republic		USD			6.99	0%	9.99	0%	13.99	0%
Ecuador		USD			5.99	0%	8.99	0%	11.99	0%
Egypt		EGP			100	0%	170	0%	240	0%
El Salvador		USD			6.99	0%	9.99	0%	13.99	0%
Ireland		EUR			10.99	0%	16.99	0%	23.99	0%
Nicaragua		USD			4.99	0%	6.99	0%	9.99	0%
Portugal		EUR			8.99	0%	12.99	0%	17.99	0%
Qatar		USD			8.99	0%	11.99	0%	17.99	0%
United Kingdom		GBP	5.99	0%			12.99	0%	18.99	0%
United States		USD	8.99	0%			19.99	0%	26.99	0%

Source: Company data, Goldman Sachs Global Investment Research

YoY and QoQ App MAU trends in the top 20 markets were mostly negative in Q2'26 (with Japan being a notable positive standouts in the quarter, growing app-based MAUs +49% YoY).

Exhibit 21: Netflix App MAUs
in mm, %

	App MAUs (mm)			App MAUs (mm)	
Netflix Markets	Q2'26	Q1'26	Q2'25	QoQ	YoY
United States	107.0	113.6	109.9	-6%	-3%
India	90.2	89.9	87.4	0%	3%
Brazil	71.9	74.3	74.4	-3%	-3%
Mexico	38.3	38.9	38.5	-2%	0%
Philippines	19.9	20.5	22.7	-3%	-12%
United Kingdom	20.1	21.2	20.5	-5%	-2%
France	19.9	20.5	20.2	-3%	-1%
Indonesia	22.1	23.0	21.1	-4%	5%
Germany	20.4	20.8	19.9	-2%	3%
South Korea	16.7	18.3	16.7	-8%	0%
Argentina	14.5	14.9	15.1	-3%	-4%
Turkey	12.7	14.0	15.0	-9%	-15%
Italy	12.6	13.2	13.0	-5%	-3%
Spain	13.1	13.6	12.7	-4%	3%
Canada	12.7	13.0	12.3	-2%	3%
Colombia	10.5	11.4	12.3	-8%	-14%
Thailand	10.3	11.1	11.1	-7%	-7%
Japan	15.0	14.4	10.1	4%	49%
South Africa	9.4	9.9	10.9	-5%	-14%
Pakistan	9.1	9.4	9.6	-3%	-5%
US Competitors					
Amazon	30.4	29.7	30.4	2%	0%
Disney+	44.6	44.8	48.3	0%	-8%
Hulu	25.6	27.5	33.3	-7%	-23%
Netflix	107.0	113.6	109.9	-6%	-3%
Peacock	25.5	33.9	22.5	-25%	13%

Source: Sensor Tower, Data compiled by Goldman Sachs Global Investment Research

Global Competition Normalizing

Over the past 18-24+ months, we have seen a normalization of the 'streaming wars' with various services/companies focusing on cost structure and with that, a return to licensing out content and focusing on existing markets. That said, we still monitor how Netflix tracks against competing services internationally. In Q2 '26, Netflix ranked first in app monthly active users in every country excluding Japan.

Exhibit 22: Streaming Services App Monthly Active Users
in mm, %

	Monthly Active Users (mm)				% Change		
	Q2'26	Q1'26	Q2'25	TTM	QoQ	YoY	TTM
Canada							
Amazon	4.4	4.4	4.0	4.4	0%	10%	7%
Disney	4.1	4.4	4.8	4.4	-7%	-16%	-13%
Netflix	12.7	13.0	12.3	13.0	-2%	3%	1%
United Kingdom							
Amazon	6.4	6.1	6.8	6.5	5%	-6%	-5%
Disney	8.7	8.5	9.7	9.0	2%	-10%	-7%
Netflix	20.1	21.2	20.5	21.1	-5%	-2%	1%
France							
Amazon	4.2	3.8	3.9	4.0	11%	8%	5%
Disney	6.5	6.8	6.6	6.9	-5%	-1%	-2%
Netflix	19.9	20.5	20.2	20.5	-3%	-1%	-1%
Germany							
Amazon	7.3	7.1	7.0	7.3	2%	4%	-1%
Disney	7.5	7.3	7.3	7.4	4%	3%	-1%
Netflix	20.4	20.8	19.9	20.6	-2%	3%	2%
Spain							
Amazon	2.6	2.7	2.7	2.8	-3%	-1%	1%
Disney	4.8	5.1	5.6	5.2	-5%	-14%	-10%
Netflix	13.1	13.6	12.7	13.4	-4%	3%	6%
Italy							
Amazon	3.4	3.3	3.2	3.3	4%	7%	0%
Disney	4.6	4.9	4.6	4.9	-6%	0%	-2%
Netflix	12.6	13.2	13.0	13.3	-5%	-3%	2%
Australia							
Amazon	2.0	2.0	2.0	2.0	-2%	0%	5%
Disney	3.2	3.4	3.7	3.4	-6%	-14%	-8%
Netflix	7.7	7.9	8.4	8.0	-3%	-9%	-7%
India							
Amazon	4.1	3.9	4.2	4.1	4%	-3%	-2%
Netflix	90.2	89.9	87.4	88.7	0%	3%	5%
Japan							
Amazon	13.6	13.8	14.6	14.2	-2%	-7%	-2%
Disney	4.0	3.8	3.9	3.9	5%	0%	3%
Netflix	15.0	14.4	10.1	12.6	4%	49%	27%
South Korea							
Amazon	0.0	0.0	0.0	0.0	-2%	20%	43%
Disney	4.3	4.5	3.4	4.1	-5%	27%	15%
Netflix	16.7	18.3	16.7	17.6	-8%	0%	10%

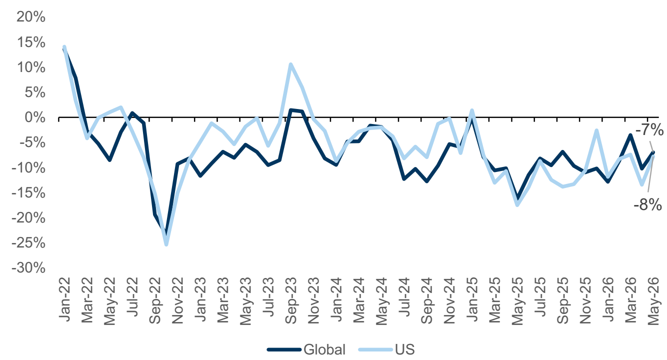
Source: Sensor Tower, Data compiled by Goldman Sachs Global Investment Research

Engagement Trends

App-Based Time Spent Declined YoY in the US & Globally

Time spent on Netflix in both the US and globally declined on a YoY basis (-8%/-7% YoY for the quarter, respectively).

Exhibit 23: Netflix US & Worldwide Time Spent
% YoY

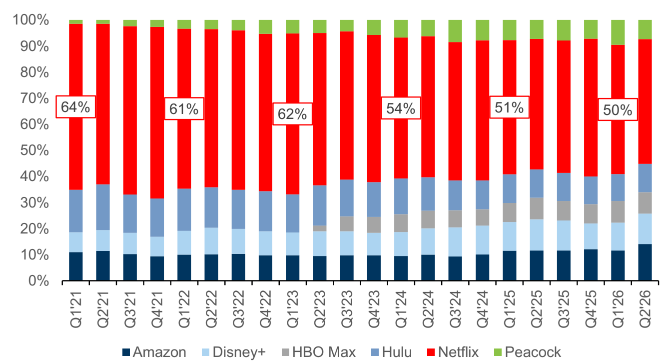


Source: Sensor Tower, Data compiled by Goldman Sachs Global Investment Research

Netflix Share of Overall Time Spent in the US Declined Sequentially During Q2'26

With many new streaming services coming to market over the past few years, we look at Netflix's total time spent on its mobile app over the past few years relative to its competitors. As seen below, Netflix's share of total time spent declined from 50% in Q1'26 to 48% in Q2'26.

Exhibit 24: US Streaming Services - Time Spent Market Share



Source: Sensor Tower, Data compiled by Goldman Sachs Global Investment Research

Streaming Remains the Leader & Continues to Gain Share of Total US TV Consumption

According to data from Nielsen's The Gauge report (link), streaming remains the leading form of TV consumption in the US and gaining steady share monthly (at ~47.6% of total TV consumption in April 2026, up from ~44.3% in April 2025). This growth has been primarily driven by YouTube, which has gained ~100bps of share over the last 12 months (from 12.4% in April 2025 to 13.4% in April 2026). Netflix's share of US TV viewership has increased by ~70bps (from 7.1% to 7.8%) over the same time period. We note that Netflix gave back about half of its progress in the LTM in just 2026 YTD, where the company had gained almost 200bps of share from April to December 2025, but then saw that share swing back to Youtube from January to April 2026.

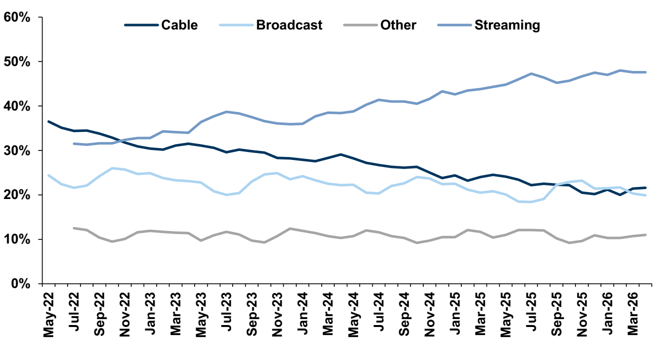
Exhibit 25: Streaming continues to take share of total TV consumption, led by YouTube (with Netflix gaining ~70bps of share LTM)
% Share of Monthly US TV Viewing

% Share of Monthly US TV Viewing	Mar-25	Apr-25	May-25	Jun-25	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26
Cable	24.0%	24.5%	24.1%	23.4%	22.2%	22.5%	22.3%	22.2%	20.5%	20.2%	21.2%	20.0%	21.4%
Broadcast	20.5%	20.8%	20.1%	18.5%	18.4%	19.1%	22.3%	22.9%	23.2%	21.4%	21.5%	21.7%	20.3%
Other	11.7%	10.4%	11.0%	12.1%	12.1%	12.0%	10.2%	9.2%	9.6%	10.9%	10.3%	10.3%	10.7%
Streaming	**43.8%**	**44.3%**	**44.8%**	**46.0%**	**47.3%**	**46.4%**	**45.2%**	**45.7%**	**46.7%**	**47.5%**	**47.0%**	**48.0%**	**47.6%**
Netflix	**7.9%**	**7.1%**	**7.5%**	**8.3%**	**8.8%**	**8.7%**	**8.3%**	**8.0%**	**8.3%**	**9.0%**	**8.8%**	**8.4%**	**8.2%**
YouTube (excl. TV)	12.0%	12.4%	12.5%	12.8%	13.4%	13.1%	12.6%	12.9%	12.9%	12.7%	12.5%	12.7%	13.2%
Disney*	5.0%	5.0%	5.0%	4.8%	4.7%	4.6%	4.5%	4.8%	4.7%	4.7%	4.9%	5.0%	5.3%
Amazon Prime Video	3.5%	3.5%	3.5%	3.6%	3.8%	3.9%	3.9%	3.8%	3.8%	4.3%	4.1%	3.9%	3.8%
Roku Channel	2.2%	2.4%	2.5%	2.5%	2.8%	2.8%	2.8%	2.8%	2.9%	3.0%	3.0%	2.9%	3.0%
Tubi	1.9%	2.0%	2.2%	2.2%	2.2%	2.2%	2.1%	2.2%	2.1%	2.0%	2.1%	2.2%	2.2%
Paramount**	2.3%	2.4%	2.2%	2.0%	2.0%	2.0%	2.0%	2.1%	2.3%	2.5%	2.3%	2.1%	2.2%
Warner / Discovery***	1.5%	1.5%	1.5%	1.4%	1.5%	1.4%	1.3%	1.3%	1.3%	1.4%	1.4%	1.3%	1.4%
Peacock	1.4%	1.4%	1.4%	1.5%	1.6%	1.4%	1.4%	1.6%	1.9%	1.7%	1.8%	3.0%	1.8%
Other Streaming	6.1%	6.6%	6.5%	6.9%	6.5%	6.3%	6.3%	6.2%	6.5%	6.2%	6.1%	6.4%	6.6%

* “Disney” includes Disney+, ESPN+ & Hulu SVOD ** “Paramount” includes Paramount+ & Pluto *** “Warner / Discovery” includes Discovery+ & Max

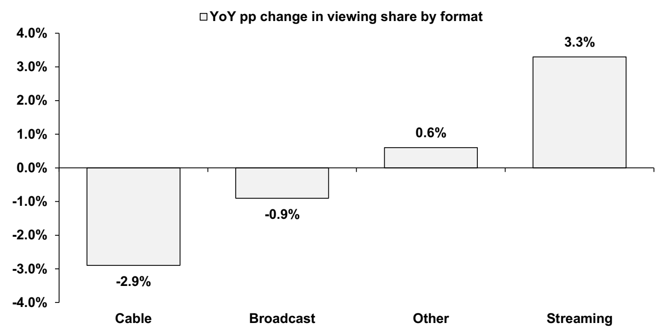
Source: Nielsen, Data compiled by Goldman Sachs Global Investment Research

Exhibit 26: Share of viewing by format
% Share of Monthly US Viewing



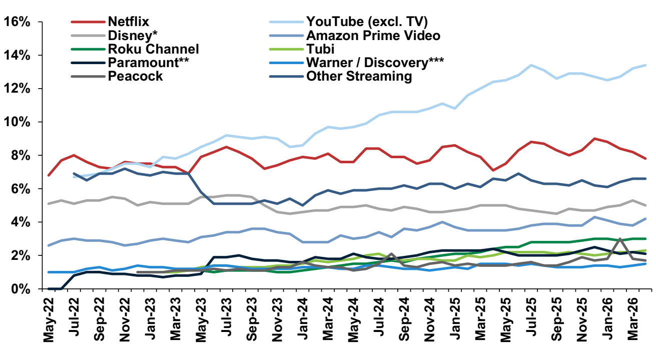
Source: Nielsen, Data compiled by Goldman Sachs Global Investment Research

Exhibit 27: Change in share of viewing by format
LTM YoY pp% change in share of Monthly US Viewing



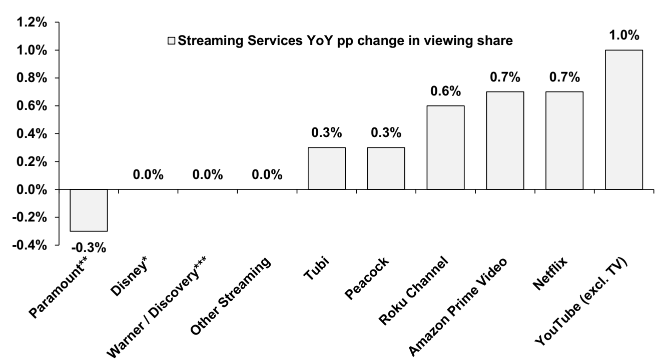
Source: Nielsen, Data compiled by Goldman Sachs Global Investment Research

Exhibit 28: Share of viewing by streaming service
% Share of Monthly US Viewing



Source: Nielsen, Data compiled by Goldman Sachs Global Investment Research

Exhibit 29: Change in share of viewing by streaming service
LTM YoY pp% change in share of Monthly US Viewing by streaming service



Source: Nielsen, Data compiled by Goldman Sachs Global Investment Research

Time Spent by Content Type:

Total Top 10. Looking at the total number of hours viewed for the top 10 TV series and films, Q2’26 viewership (for the top 10) was -18% YoY, with English TV viewership growing -31% YoY while Non-English TV viewership saw a decline of -8% YoY. Film viewership saw more mixed trends, with English film viewership +13% while Non-English film viewership was down -44% YoY.

Exhibit 30: Viewership for Top 10

Category	Q2'25	Q2'26	YoY Growth
English TV	3,499,800,000	2,407,900,000	-31%
Non-English TV	2,801,000,000	2,584,600,000	-8%
English Films	1,457,400,000	1,647,600,000	13%
Non-English Films	1,099,700,000	611,000,000	-44%
Total	**8,857,900,000**	**7,251,100,000**	**-18%**

Source: Company data, Goldman Sachs Global Investment Research

English Top 10. Looking at the top 10 English TV series and films for Q2'26 in terms of consumption, film hours grew +37% YoY while TV series hours declined -49% YoY. The significant engagement growth for film can largely be attributed to the success of *Swapped* and *Apex*, while the declines in TV can be attributed to a tough comp against last year's *Ginny & Georgia* and *You* (Season 5).

Exhibit 31: Viewership for Top 10 - English Films

Rank	Title	Q2 '25 Hours Viewed	Title	Q2 '26 Hours Viewed
1	STRAW	183,800,000	Swapped	213,000,000
2	Havoc	142,300,000	Apex	186,800,000
3	The Life List	121,400,000	Thrash	123,500,000
4	Nonnas	99,700,000	Office Romance	102,100,000
5	KPop Demon Hunters	55,700,000	The Crash	93,500,000
6	A Deadly American Marriage	46,400,000	Remarkably Bright Creatures	83,300,000
7	Titan: The OceanGate Submersible Disaster	44,900,000	KPop Demon Hunters	80,700,000
8	Inside Man: Most Wanted	29,900,000	Goat	66,300,000
9	Fear Street: Prom Queen	28,700,000	Maternal Instinct	65,400,000
10	Puss in Boots: The Last Wish	27,900,000	Ladies First	55,900,000
	Total	**780,700,000**	**Total**	**1,070,500,000**

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 32: Viewership for Top 10 - English TV Series

Rank	Title	Q2 '25 Hours Viewed	Title	Q2 '26 Hours Viewed
1	Ginny & Georgia	708,900,000	Nemesis	234,000,000
2	You	297,600,000	Man on Fire	194,200,000
3	Sirens	250,700,000	I Will Find You	131,700,000
4	Dept. Q	207,500,000	The Boroughs	130,500,000
5	Ransom Canyon	183,600,000	XO, Kitty	102,900,000
6	PULSE	162,100,000	Unchosen	100,700,000
7	Black Mirror	161,900,000	Worst Ex Ever	90,300,000
8	The Four Seasons	152,300,000	Legends	88,700,000
9	Adolescence	151,800,000	Running Point	85,500,000
10	The Waterfront	127,600,000	Michael Jackson: The Verdict	72,500,000
	Total	**2,404,000,000**	**Total**	**1,231,000,000**

Source: Company data, Goldman Sachs Global Investment Research

Non-English Top 10. Looking at the top 10 Non-English TV series and films for Q2'26 in terms of consumption, TV series hours grew +3% YoY while film hours declined -58% YoY. The engagement growth for TV series can be attributed to the success of *Teach You a Lesson* successfully lapping *Squid Game* (Season 3), while the declines in film can be attributed to a tough comp against last year's *Exterritorial* and *iHostage*.

Exhibit 33: Viewership for Top 10 - Non-English Films

Rank	Title	Q2 '25 Hours Viewed	Title	Q2 '26 Hours Viewed
1	Exterritorial	155,800,000	Humint	37,100,000
2	iHostage	85,400,000	The Marked Woman	37,000,000
3	A Widow's Game	83,500,000	My Dearest Assassin	34,000,000
4	Bad Influence	71,600,000	Colors Of Evil: Black	25,800,000
5	Bullet Train Explosion	67,900,000	Eat Pray Bark	23,400,000
6	K.O.	62,600,000	Feel My Voice	19,400,000
7	Last Bullet	53,700,000	KARTAVYA	18,800,000
8	Jewel Thief - The Heist Begins	35,900,000	The Red Line	18,300,000
9	The Heart Knows	29,200,000	Kara	17,700,000
10	Unexplainable	23,700,000	Maa Behen	16,300,000
	Total	**669,300,000**	**Total**	**247,800,000**

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 34: Viewership for Top 10 - Non-English TV Series

Rank	Title	Q2 '25 Hours Viewed	Title	Q2 '26 Hours Viewed
1	Squid Game	403,000,000	Teach You a Lesson	294,500,000
2	When Life Gives You Tangerines	254,700,000	Berlin and the Lady with an Ermine	190,700,000
3	Weak Hero	148,600,000	Bloodhounds	188,300,000
4	The Eternaut	147,400,000	My Royal Nemesis	171,600,000
5	Resident Playbook	139,900,000	The WONDERfools	170,800,000
6	The Gardener	137,000,000	Sold Out on You	141,600,000
7	Tastefully Yours	128,000,000	If Wishes Could Kill	100,200,000
8	Secrets We Keep	119,200,000	Detective Hole	85,600,000
9	Our Unwritten Seoul	112,000,000	Bandi	71,400,000
10	Rosario Tijeras (Mexico)	102,500,000	Rosario Tijeras (Mexico)	71,300,000
	Total	**1,692,300,000**	**Total**	**1,486,000,000**

Source: Company data, Goldman Sachs Global Investment Research

Content Slate: Smaller Original Content Slate During Q2 ‘26

Q2 ‘26 had a solid title slate (124 original titles with several returning seasons and notable series), though we note based on available data that this slate was ~17% smaller than Q2’ 25 (in terms or number of titles launching). Upcoming titles for Q3’ 26 are yet to be announced, as Netflix tends to have a small-time gap between announcement and release date. That said, we note that Q3’ 25 had ~150 Netflix original title launches, so we would expect original titles to grow in a similar fashion in 2026 as the year progresses.

Exhibit 35: We counted 124 Netflix original title releases in Q2'26 compared to 149 in Q2'25
Q2 '26 & Q2 '25 Content Slate

2Q25 Netflix Originals

Category	April	May	June	Total 2Q Titles
Scripted TV	Pulse S1 Karma S1 North of North S1 The Gardener S1 Resident Playbook S1 I Am Not Mendoza S1 Project UFO S1 Istanbul Encyclopedia S1 Ransom Canyon S1	The Four Seasons S1 Unseen S2 Forever S1 The Royals S1 Tastefully Yours S1 Bad Thoughts S1 Snakes and Ladders S1 Bet S1 Franklin S1 Pernille S5 Secrets We Keep The Reserve Dear Hongrang S1 Football Parents S1 Rotten Legacy S1 Poor S1 Real Men S1 She The People S1 Sirens Forget You Not S1 Our Unwritten Soul S1 Dept. Q S1 Mad Unicorn Losmen Bu Broto S1	Sara: Woman in the Shadows S1 Criminal Code S2 Eva Lasting S3 Barracuda Queens S2 Ginny & Georgia S3 Tires S2 Mercy for None The Survivors S1 Families Like Ours Aniela S1 FUBAR S2 Kings of Jo'Burg S3 The Waterfront S1 Olympo S1 Semi-Soeter S1	**48**
Comedy / Stand-Up	Nimesh Patel: Instant Karma Tim Dillon: I'm Your Mother	Conan O'Brien: Mark Twain Prize Sarah Silverman: Postmortem Mike Birbiglia: The Good Life	Justin Willman: Magic Lover Steph Tolev: Filth Queen	**7**
Films	Banger Test The Dad Quest Frozen Hot Boys Meet the Khumalos iHostage Bullet Train Explosion Exterritorial Havoc Jewel Thief: The Heist Begins	The Biggest Fan Nonnas Bad Influence (film) Lost Bullet 3 Fear Street: Prom Queen Off Track 2 A Widow's Game Lost in Starlight The Heart Knows	K.O. STRAW Cheers to Life Our Times KPop Demon Hunters	**24**
Documentaries / Docuseries	Garnachas S1 The Parisian Agency S5 Bad Influence: Kidfluencing S1 The Clubhouse: Red Sox S1 Behind the Curtain: Stranger Things The Diamond Heist Oklahoma City Bombing Pangolin: Kulu's Journey A Tragedy Foretold Carlos Alcaraz: My Way S1 Chef's Table: Legends S1 Turning Point: Vietnam War	Angi Britain and the Blitz UNTOLD: Shooting Guards Full Speed S2 A Deadly American Marriage UNTOLD: Liver King American Manhunt: Bin Laden Fred and Rose West Vini Jr. The Quilters UNTOLD: Favre Air Force Elite Cold Case: Tylenol Murders F1: The Academy	Power Moves with Shaq S1 Trainwreck: Astroworld Cocaine Air Titan: OceanGate Disaster Trainwreck: Mayor of Mayhem America's Sweethearts S2 Somebody Feed Phil S8 Grenfell: Uncovered Trainwreck: Poop Cruise	**35**
Animated Series / Kids	Earth Playlist S1 Devil May Cry S1 Jurassic World: Chaos Theory S3 Blippi's Job Show S1 Unicorn Academy (Ch.3) Moonrise S1 Pokémon Horizons S2 Astérix & Obelix S1	Mighty Monsterwheelies S2 Blood of Zeus S3 Love, Death & Robots Vol. 4 Big Mouth S8 CoComelon S13	Creature Cases Ch.5 KPop Demon Hunters Summer Playlist S1 Pokémon Horizons S2 (Part 3)	**17**
Reality Shows / Other	Cheat: Unfinished Business S1 Love on the Spectrum S3 Love is Blind: Sweden Kill Tony S1 Kian's Bizarre B&B S1 My Next Guest (Caitlin Clark) Pop the Balloon LIVE Battle Camp S1	The Devil's Plan S2 Too Hot to Handle: Italy S1 Rhythm + Flow: Poland S1 Sneaky Links S1 Better Late Than Single S1 Netflix TUDUM LIVE	Too Hot to Handle: Spain S1 Kaulitz & Kaulitz S2 Yolanthe S1 The Ultimatum: Queer Love S2	**18**
Total				**149**

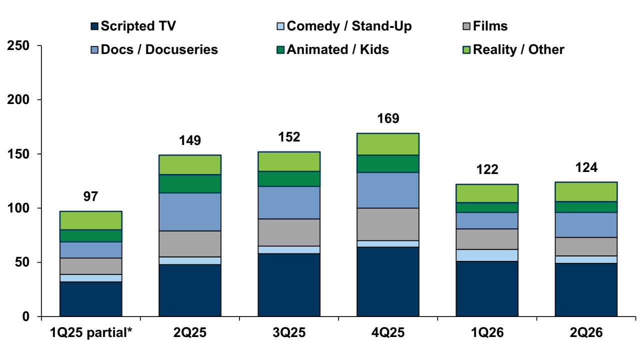
2Q26 Netflix Originals

Category	April	May	June	Total 2Q Titles
Scripted TV	Agent from Above S1 Alkhallat+: The Series: Desert Rules S1 Big Mistakes S1 Bloodhounds S2 Flunked S1 Gangs of Galicia S2 High Tides S3 Maamla Legal Hai S2 Man on Fire S1 Running Point S2 Santita S1 Sins of Kujo S1 Sold Out on You S1 Straight to Hell S1 The Law According to Lidia Poët S3 Turn of the Tide S3 Unchosen We Are All Trying Here S1 XO, Kitty S3 Beef S2	Glory My Dearest Señorita Son-in-Law Legends S1 My Dearest Assassin The Chestnut Man S2 My Royal Nemesis S1 Thank You, Next S3 Between Father and Son S1 Roosters S2 Nemesis S1 Soul Mate Berlin and the Lady with an Ermine Bruid van die Jaar KARTAVYA The WONDERfools Carizzma S1 The Boroughs A Good Girl's Guide to Murder S2 Murder Mindfully S2 The Four Seasons S2	I Will Find You S1 Oasis S1 Another Self S3 Avatar: The Last Airbender S2 Notes from the Last Row S1 Agent Kim Reactivated S1 My Family S2 Rosario Tijeras S5	**49**
Comedy / Stand-Up	Funny AF with Kevin Hart S1 Sarah Millican: Late Bloomer Sheng Wang Purple	The Roast of Kevin Hart (LIVE) Wanda Sykes: Legacy Bad Thoughts S2	Ryan Hamilton: This Just Hit Me	**7**
Films	18th Rose 180 Apex Eat Pray Bark Feel My Voice It Takes a Village Je m'appelle Agneta The Giant Falls Thrash	Swapped Remarkably Bright Creatures Ladies First	Color Book Husbands in Action Voicemails for Isabelle Little Brother In the Hand of Dante	**17**
Documentaries / Docuseries	Hulk Hogan: Real American Lainey Wilson: Keepin' Country Cool Ronaldinho: The One and Only Should I Marry A Murderer? The Truth and Tragedy of Moriah Wilson This Is a Gardening Show S1 Trust Me: The False Prophet Untold: Chess Mates Untold: The Shooting at Hawthorne Hill	USA 94: Brazil's Return to Glory Marty, Life Is Short Untold UK: Jamie Vardy The Bus: A French Football Mutiny The Crash Untold UK: Liverpool's Miracle of Istanbul James. Untold UK: Vinnie Jones Emi Martínez: The Kid Who Stops Time Brazil '70: The Third Star Rafa	The Root of the Game The American Experiment S1 Chris & Martina: The Final Set	**23**
Animated Series / Kids	CoComelon Lane S2 Dandelion S1 Stranger Things: Tales From '85 S1 The Bad Guys: The Series S2 The Ramparts of Ice S1	Dr. Seuss's Horton! S2 Devil May Cry S2 My 2 Cents S1 Mating Season S1	Pokémon Horizons S3	**10**
Reality Shows / Other	At Home with the Furys S2 Love on the Spectrum S4 Supernova Strikers: Genesis Supernova: Genesis Temptation Island S10 Tyson Fury vs. Arslanbek Makhmudov	Countdown: Rousey vs. Carano Love is Blind: Poland Worst Ex Ever S2 Perfect Match S4 Pop Culture Jeopardy! S1 Ronda Rousey vs. Gina Carano (LIVE) Jae-seok's B&B Rules S1 Calabasas Confidential S1 AFI Life Achievement Award: A Tribute to Eddie Murphy	Rhythm + Flow Italy S3 Outlast: The Jungle S1 We're Back! With Brian Williams	**18**
Total				**124**

Data pulled: 06/23/2026. This list may not be exhaustive.

Source: What's On Netflix, Company data, Goldman Sachs Global Investment Research

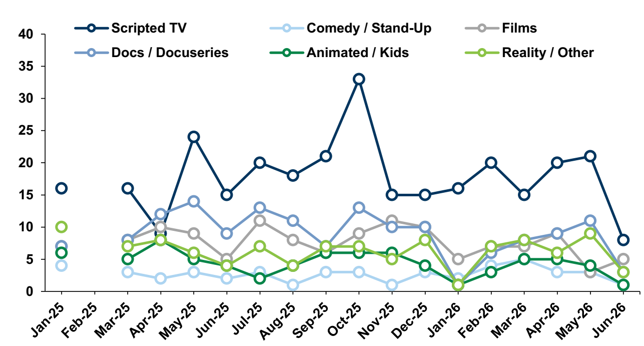
Exhibit 36: Quarterly content category title counts



1Q25 is partial data because there is no data available for February 2025.

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 37: Monthly content category title counts



There is no available data for February 2025.

Source: Company data, Goldman Sachs Global Investment Research

While content slate has been an important driver for user trajectory in the quarter (especially new user acquisitions), the critical mass of Netflix's library will likely help smooth out the impact of content slate volatility going forward. With many new competing streaming services entering new markets, we monitor how each service is building up content in certain markets.

Exhibit 38: Available TV Series on Streaming Services Globally (as of Q2 '26)

	Netflix		Amazon Prime		Disney+		Apple TV+		Max	
	Total	Adds	Total	Adds	Total	Adds	Total	Adds	Total	Adds
North America										
Canada	3,204	108	3,147	128	1,256	30	217	7	-	-
Mexico	3,232	102	1,385	87	1,056	(2)	215	7	1,505	(12)
United States	3,333	104	4,967	272	682	(135)	218	7	1,719	30
South America										
Argentina	3,231	118	1,387	48	1,044	(12)	214	7	1,456	(15)
Brazil	3,232	114	1,206	86	1,025	2	215	7	1,543	73
Chile	3,133	92	1,341	51	996	(8)	213	7	1,417	(19)
Colombia	3,111	83	1,306	45	991	(6)	213	7	1,338	(18)
Costa Rica	3,083	93	1,210	28	958	(1)	213	7	1,234	(14)
Ecuador	3,101	95	1,250	25	976	-	213	7	1,302	(12)
Peru	3,120	91	1,271	26	989	(6)	214	7	1,338	(17)
Europe										
Austria	3,070	90	1,607	130	1,032	(64)	214	7	-	-
Czech Republic	2,415	101	628	42	796	(52)	214	7	1,115	11
Denmark	2,474	(51)	905	45	840	(117)	207	7	999	8
Finland	2,646	69	978	60	870	(107)	207	7	1,918	863
France	3,070	85	1,456	33	872	(40)	215	7	948	18
Germany	3,062	74	1,616	140	1,040	59	216	7	-	-
Ireland	3,185	68	1,701	46	1,053	(74)	215	7	-	-
Italy	2,843	108	1,237	72	901	(33)	214	6	-	-
Netherlands	2,973	90	917	35	858	(93)	207	7	996	10
Norway	2,572	57	910	39	843	(115)	206	7	1,182	16
Poland	2,809	97	786	66	852	(47)	214	7	1,060	27
Portugal	2,690	76	884	46	867	(77)	215	7	909	21
Russia	-		-		-		96	(23)	-	
Spain	2,909	101	1,465	88	937	(53)	216	7	1,131	15
Sweden	2,567	42	949	53	845	(119)	207	7	1,025	11
Switzerland	3,064	86	1,570	32	1,015	(49)	215	7	-	-
United Kingdom	3,319	72	3,642	238	1,134	(91)	218	6	-	-
Asia										
India	3,279	121	1,391	119	-	-	213	7	-	-
Indonesia	3,296	117	802	26	-	-	208	7	901	33
Japan	3,384	140	4,025	235	1,084	26	214	7	-	-
Malaysia	2,583	89	830	36	715	13	209	7	752	22
Philippines	3,533	107	1,046	36	-	-	215	7	966	40
Singapore	3,332	66	844	37	1,039	(29)	211	7	781	17
South Korea	3,505	95	709	30	903	-	214	7	-	-
Thailand	3,226	85	812	27	754	9	212	7	818	21
Turkey	2,880	107	728	38	969	(4)	-	-	-	-
Africa										
South Africa	3,154	101	1,462	39	-	-	214	7	-	-
Pacific										
Australia	3,262	89	2,843	201	1,179	15	216	7	-	-
New Zealand	3,235	94	2,255	(144)	1,195	5	215	7	-	-

Source: JustWatch, Data compiled by Goldman Sachs Global Investment Research

Exhibit 39: Available Films on Streaming Services Globally (as of Q2 '26)

	Netflix		Amazon Prime		Disney+		Apple TV+		Max	
	Total	Adds	Total	Adds	Total	Adds	Total	Adds	Total	Adds
North America										
Canada	4,386	55	10,071	647	2,057	(137)	100	2	-	-
Mexico	4,450	28	4,611	93	1,887	(124)	101	2	1,813	(175)
United States	4,562	107	22,060	1,121	1,393	(88)	102	2	1,902	(9)
South America										
Argentina	4,253	55	5,200	35	1,865	(124)	96	-	1,765	(138)
Brazil	4,619	33	3,995	60	1,805	(115)	101	2	1,670	(233)
Chile	3,823	46	4,350	(77)	1,740	(119)	99	2	1,596	(135)
Colombia	3,779	22	4,445	(62)	1,800	(126)	91	2	1,614	(133)
Costa Rica	3,863	34	4,325	(55)	1,705	(133)	99	2	1,579	(131)
Ecuador	3,933	23	4,584	(69)	1,801	(134)	97	1	1,608	(144)
Peru	3,773	11	4,532	(88)	1,806	(115)	96	2	1,609	(136)
Europe										
Austria	5,091	17	6,541	410	2,216	(98)	97	2	-	-
Czech Republic	6,042	70	632	18	1,739	(93)	101	2	1,525	(49)
Denmark	4,357	75	3,080	232	1,736	(258)	95	2	771	(1)
Finland	5,248	79	3,236	235	1,883	(254)	96	3	845	2
France	6,032	964	5,812	164	2,094	(114)	91	1	785	(20)
Germany	5,298	44	7,211	635	2,412	(11)	101	2	-	-
Ireland	4,473	76	9,581	72	1,834	(195)	90	2	-	-
Italy	5,409	50	7,620	141	2,028	(185)	99	(3)	-	-
Netherlands	4,752	53	2,876	170	1,839	(196)	100	2	533	(16)
Norway	4,345	83	2,902	199	1,672	(226)	90	2	750	(9)
Poland	5,222	117	1,727	118	1,821	(81)	101	2	1,335	(9)
Portugal	5,607	4	1,765	38	1,856	(164)	101	3	675	(17)
Russia							70			
Spain	5,934	71	7,211	584	2,049	(130)	97	1	829	(48)
Sweden	4,564	63	3,330	266	1,753	(257)	96	2	768	(5)
Switzerland	5,350	30	6,010	121	2,162	(165)	101	2	-	-
United Kingdom	4,955	78	18,898	450	2,070	(111)	97	2	-	-
Asia										
India	4,275	128	5,231	(760)		-	100	2	-	-
Indonesia	4,678	92	1,437	31		-	99	2	800	(19)
Japan	4,803	145	6,655	108	1,642	(44)	99	2	-	-
Malaysia	4,004	77	1,343	36		-	90	2	724	(16)
Philippines	4,727	96	2,316	(23)		-	98	2	788	(15)
Singapore	4,170	75	1,362	54	1,731	(114)	91	2	754	(20)
South Korea	4,922	253	928	13	1,572	(38)	98	2	-	-
Thailand	4,292	83	1,333	48		-	99	2	783	(17)
Turkey	4,385	101	948	-	1,482	(71)		-	-	-
Africa										
South Africa	4,071	114	4,875	(196)		-	102	2	-	-
Pacific									-	
Australia	4,482	94	8,621	469	1,971	(136)	102	3	-	-
New Zealand	4,324	37	7,628	622	1,946	(112)	97	2	-	-

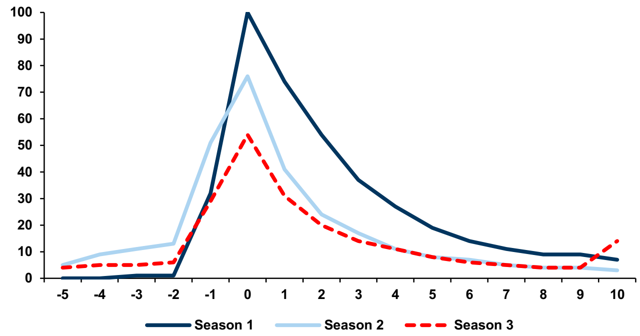
Source: JustWatch, Data compiled by Goldman Sachs Global Investment Research

Google Search Trends for Key Returning Titles:

We analyze data from Google Search trends worldwide to gauge popularity of key Netflix original content across regions. Key Netflix titles we were able to track that supported the Q2 '26 content slate include:

- **Returning Original Series (Scripted): The Night Agent S3** (2/19/26), **Virgin River S7** (3/12/26), **A Good Girl's Guide to Murder** (5/27/26).

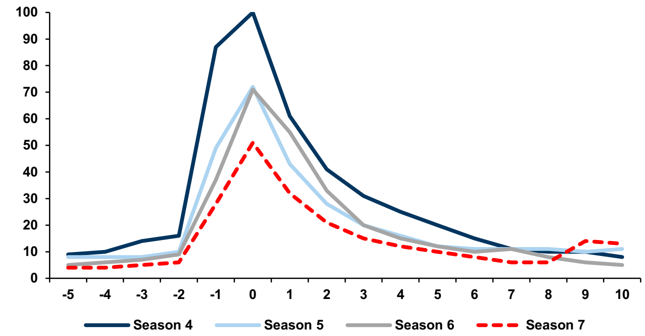
Exhibit 40: The Night Agent (Season 3)
Worldwide Google Search Interest



*Week 0 reflects launch date of each season. Y-axis represents search interest relative to the highest point of the chart for the given region (worldwide) & time (3.5 years) with the value of 100 representing peak popularity. X-axis represents number of weeks prior to or following the release date with 0 representing release date.

Source: Google Trends (https://www.google.com/trends), Data compiled by Goldman Sachs Global Investment Research

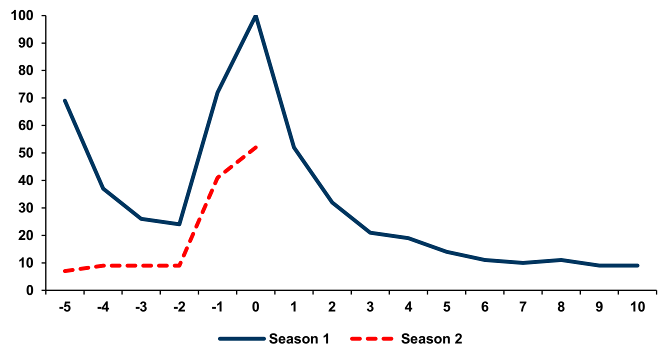
Exhibit 41: Virgin River (Season 7)
Worldwide Google Search Interest



Y-axis represents search interest relative to the highest point of the chart for the given region (worldwide) & time (5 years) with the value of 100 representing peak popularity. X-axis represents number of weeks prior to or following the release date with 0 representing release date.

Source: Google Trends (https://www.google.com/trends), Data compiled by Goldman Sachs Global Investment Research

Exhibit 42: A Good Girl's Guide to Murder (Season 2)
Worldwide Google Search Interest



Week 0 represents release date of first batch of episodes for each season. Y-axis represents search interest relative to the highest point of the chart for the given region (worldwide) & time (5 years) with the value of 100 representing peak popularity. X-axis represents number of weeks prior to or following the release date with 0 representing release date.

Source: Google Trends (https://www.google.com/trends), Data compiled by Goldman Sachs Global Investment Research

Estimate Changes, Valuation & Key Risks

We make the following changes to our forward estimates: a) raise expected share buybacks (completing its newly increased existing authorization over the next 2.5 years) & b) update share count for the latest company filing.

Exhibit 43: NFLX - Summary of Estimate Changes
$mm, except per-share values

	Q2 2026 Old	Q2 2026 New	Q2 2026 % Change	2026 Old	2026 New	2026 % Change	2027 Old	2027 New	2027 % Change	2028 Old	2028 New	2028 % Change
Total Revenues	**$ 12,577**	**$ 12,577**	***0.0%***	**$ 51,664**	**$ 51,664**	***0.0%***	**$ 58,594**	**$ 58,594**	***0.0%***	**$ 65,816**	**$ 65,816**	***0.0%***
UCAN Revenues	$ 5,520	$ 5,520	*0.0%*	$ 22,558	$ 22,558	*0.0%*	$ 25,423	$ 25,423	*0.0%*	$ 28,219	$ 28,219	*0.0%*
EMEA Revenues	$ 4,034	$ 4,034	*0.0%*	$ 16,627	$ 16,627	*0.0%*	$ 18,788	$ 18,788	*0.0%*	$ 21,090	$ 21,090	*0.0%*
LatAM Revenues	$ 1,503	$ 1,503	*0.0%*	$ 6,207	$ 6,207	*0.0%*	$ 7,076	$ 7,076	*0.0%*	$ 8,031	$ 8,031	*0.0%*
APAC Revenues	$ 1,521	$ 1,521	*0.0%*	$ 6,272	$ 6,272	*0.0%*	$ 7,307	$ 7,307	*0.0%*	$ 8,476	$ 8,476	*0.0%*
Operating Income	$ 4,106	$ 4,106	*0.0%*	$ 16,265	$ 16,265	*0.0%*	$ 19,744	$ 19,744	*0.0%*	$ 23,602	$ 23,602	*0.0%*
% margin	*32.6%*	*32.6%*	*0 bps*	*31.5%*	*31.5%*	*0 bps*	*33.7%*	*33.7%*	*0 bps*	*35.9%*	*35.9%*	*0 bps*
FCF	$ 2,336	$ 2,336	*0.0%*	$ 13,012	$ 12,989	*-0.2%*	$ 13,986	$ 13,808	*-1.3%*	$ 17,679	$ 17,251	*-2.4%*
Cash content spend	$ 4,495	$ 4,495	*0.0%*	$ 19,915	$ 19,915	*0.0%*	$ 21,508	$ 21,508	*0.0%*	$ 22,799	$ 22,799	*0.0%*
GAAP EPS	$ 0.78	$ 0.78	*-0.1%*	$ 3.60	$ 3.60	*0.1%*	$ 3.89	$ 3.94	*1.2%*	$ 4.74	$ 4.89	*3.1%*

Source: Company data, Goldman Sachs Global Investment Research

Exhibit 44: NFLX - GSe vs. Visible Alpha Consensus
$mm, except per share

	Q2 2026 GS Est	Q2 2026 Cons Est	Q2 2026 % GS vs. Cons	Q2 2026 Guide	2026 GS Est	2026 Cons Est	2026 % GS vs. Cons	2026 Guide	2027 GS Est	2027 Cons Est	2027 % GS vs. Cons
Total Revenue	**$ 12,577**	**$ 12,567**	**0%**	*$12.574bn*	**$ 51,664**	**$ 51,292**	**1%**	*$50.7-51.7bn*	**$ 58,594**	**$ 57,112**	**3%**
UCAN Revenue	$ 5,520	$ 5,522	0%		$ 22,558	$ 22,395	1%		$ 25,423	$ 24,663	3%
EMEA Revenue	$ 4,034	$ 4,018	0%		$ 16,627	$ 16,456	1%		$ 18,788	$ 18,355	2%
LatAM Revenue	$ 1,503	$ 1,504	0%		$ 6,207	$ 6,171	1%		$ 7,076	$ 6,882	3%
APAC Revenue	$ 1,521	$ 1,523	0%		$ 6,272	$ 6,271	0%		$ 7,307	$ 7,212	1%
Operating Income	$ 4,106	$ 4,125	0%	*$4.105bn*	$ 16,265	$ 16,264	0%		$ 19,744	$ 19,512	1%
% margin	*32.6%*	*32.8%*	*-18 bps*	*32.6%*	*31.5%*	*31.7%*	*-23 bps*	*31.5%*	*33.7%*	*34.2%*	*-47 bps*
Free Cash Flow	$ 2,336	$ 2,464	-5%		$ 12,989	$ 13,018	0%	*$12.5bn*	$ 13,808	$ 14,851	-7%
Cash Content Spend	$ 4,495	$ 4,742	-5%		$ 19,915	$ 19,782	1%		$ 21,508	$ 21,201	1%
GAAP EPS	$ 0.78	$ 0.79	-1%	*$0.78*	$ 3.60	$ 3.60	0%		$ 3.94	$ 3.84	2%

Source: Visible Alpha Consensus Data, Company data, Goldman Sachs Global Investment Research

We maintain our Buy rating and lower our PT from $120 to $110. Our $110 12-m price target is based on an equal blend of: (1) EV/GAAP EBITDA applied to our NTM + 1 year estimates; and (2) a modified DCF using EV/FCF-SBC multiple applied to our NTM + 4 years estimates discounted back 3 years. Specifically:

- 22.5x EV/GAAP EBITDA (from 25.0x prior) or 1.04x EV/GAAP EBITDA-to-Growth (from 1.15x prior) applied to our NTM + 1 year estimates. We lower our absolute multiple to reflect a recent de-rating across our wider coverage universe and apply a 22.5x multiple to maintain our prior ~1.0-1.1x multiple-to-growth.
- 24.0x EV/FCF-SBC (from 25.0x prior) or 1.07x EV/FCF-SBC-to-Growth (from 1.11x prior) applied to our NTM + 4 years estimates discounted back 3 years at 12% (unchanged). We lower our absolute multiple to reflect a recent de-rating across our wider coverage universe and apply a 1.07x multiple-to-growth to reflect the low end of NFLX's +/- 1 standard deviation range (of 1.07-1.98x) over the past 3 years. The discount rate represents CAPM using the blended average of companies within our coverage universe consisting of: (1) 3% risk free rate (based on the normalized 10-year rate); (2) average beta of ~1.3; (3) equity risk premium of 7%.

Exhibit 45: NFLX Price Target Analysis
$mm, except per share data

Scenario Analysis	Downside	Base	Upside
Valuation	$ 74	$ 110	$ 132
% upside/downside	*-2%*	*45%*	*74%*
GAAP EBITDA (NTM)	$ 16,029	$ 17,335	$ 17,899
EBITDA Margin %	30.0%	32.4%	33.5%
GAAP EBITDA (NTM + 1 year)	$ 19,303	$ 21,155	$ 21,716
EBITDA Margin %	32.0%	35.1%	36.0%
EV / EBITDA	15.0x	22.5x	25.0x
EBITDA CAGR	16.2%	21.7%	23.3%
EV / EBITDA to Growth	0.92x	1.04x	1.07x
Enterprise Value	$ 289,548	$ 475,981	$ 542,903
FCF-SBC (NTM + 4 yrs)	$ 25,001	$ 26,230	$ 27,918
FCF-SBC % of Sales	30.0%	31.5%	33.5%
EV / FCF-SBC	20.0x	24.0x	27.0x
FCF-SBC CAGR	20.5%	22.4%	25.0%
EV / FCF-SBC-to-Growth	0.98x	1.07x	1.08x
Discount Rate	15.0%	12.0%	10.0%
Discount Period (Years)	3	3	3
Enterprise Value (NTM + 3 years)	$ 500,022	$ 629,522	$ 753,783
Discounted Enterprise Value (NTM)	$ 328,773	$ 448,082	$ 566,329
Weightings			
EV derived from GAAP EBITDA	50%	50%	50%
EV derived from (FCF-SBC)	50%	50%	50%
Enterprise Value	$ 309,161	$ 462,031	$ 554,616
Capital Structure Adjustments			
Adjusted Net Debt - NTM Ending	$ 4,228	$ 4,228	$ 4,228
Adjusted Shares Outstanding	4,168	4,168	4,168

Source: Goldman Sachs Global Investment Research

Risks to our Buy rating include: subscriber growth (disappointing to the downside vs. our estimates); timing and magnitude of price increases and resulting impact on churn levels could result in lower operating estimates; slower than expected execution on ad-supported tier initiative; M&A and related risks (integration, execution, regulatory, etc.); and levels of industry competition & impact on subscriber growth, original content and consumer attention.

Disclosure Appendix

Reg AC

We, Eric Sheridan, Stephen Laszczyk, Antares Tobelem, Alex Vegliante, CFA, Achal Gupta and Emma Huang, hereby certify that all of the views expressed in this report accurately reflect our personal views about the subject company or companies and its or their securities. We also certify that no part of our compensation was, is or will be, directly or indirectly, related to the specific recommendations or views expressed in this report.

Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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GS Factor Profile

The Goldman Sachs Factor Profile provides investment context for a stock by comparing key attributes to the market (i.e. our universe of rated stocks) and its sector peers. The four key attributes depicted are: Growth, Financial Returns, Multiple (e.g. valuation) and Integrated (a composite of Growth, Financial Returns and Multiple). Growth, Financial Returns and Multiple are calculated by using normalized ranks for specific metrics for each stock. The normalized ranks for the metrics are then averaged and converted into percentiles for the relevant attribute. The precise calculation of each metric may vary depending on the fiscal year, industry and region, but the standard approach is as follows:

Growth is based on a stock's forward-looking sales growth, EBITDA growth and EPS growth (for financial stocks, only EPS and sales growth), with a higher percentile indicating a higher growth company. **Financial Returns** is based on a stock's forward-looking ROE, ROCE and CROCI (for financial stocks, only ROE), with a higher percentile indicating a company with higher financial returns. **Multiple** is based on a stock's forward-looking P/E, P/B, price/dividend (P/D), EV/EBITDA, EV/FCF and EV/Debt Adjusted Cash Flow (DACF) (for financial stocks, only P/E, P/B and P/D), with a higher percentile indicating a stock trading at a higher multiple. The **Integrated** percentile is calculated as the average of the Growth percentile, Financial Returns percentile and (100% - Multiple percentile).

Financial Returns and Multiple use the Goldman Sachs analyst forecasts at the fiscal year-end at least three quarters in the future. Growth uses inputs for the fiscal year at least seven quarters in the future compared with the year at least three quarters in the future (on a per-share basis for all metrics).

For a more detailed description of how we calculate the GS Factor Profile, please contact your GS representative.

M&A Rank

Across our global coverage, we examine stocks using an M&A framework, considering both qualitative factors and quantitative factors (which may vary across sectors and regions) to incorporate the potential that certain companies could be acquired. We then assign a M&A rank as a means of scoring companies under our rated coverage from 1 to 3, with 1 representing high (30%-50%) probability of the company becoming an acquisition target, 2 representing medium (15%-30%) probability and 3 representing low (0%-15%) probability. For companies ranked 1 or 2, in line with our standard departmental guidelines we incorporate an M&A component into our target price. M&A rank of 3 is considered immaterial and therefore does not factor into our price target, and may or may not be discussed in research.

Quantum

Quantum is Goldman Sachs' proprietary database providing access to detailed financial statement histories, forecasts and ratios. It can be used for in-depth analysis of a single company, or to make comparisons between companies in different sectors and markets.

Disclosures

The rating(s) for Netflix Inc. is/are relative to the other companies in its/their coverage universe: ACV Auctions Inc., Airbnb Inc., Alphabet Inc., Amazon.com Inc., Angi Inc., AppLovin Corp., Booking Holdings Inc., Bumble Inc., Chewy Inc., Clear Secure Inc., Corsair Gaming Inc., Coursera Inc., Cricut Inc., DoorDash Inc., DoubleVerify Inc., DraftKings Inc., Duolingo Inc., Ethos Technologies Inc., Expedia Group, Fiverr International Ltd., Frontdoor Inc., GoodRx Holdings Inc., Grindr Inc., Groupon Inc., Ibotta Inc., Instacart, Liftoff Mobile Inc., Lyft Inc., Match Group, MediaAlpha Inc., Meta Platforms Inc., Netflix Inc., Nextdoor Holdings, Opera Ltd., Pattern Group Inc., Peloton Interactive Inc., People Inc., Pinterest Inc., Playtika, Reddit Inc., Roblox, Snap Inc., Sportradar Group, Spotify Technology S.A., StubHub Holdings, Take-Two Interactive Software Inc., Tripadvisor Inc., Uber Technologies Inc., Unity Software Inc., Upwork Inc., Wayfair Inc., Webtoon Entertainment Inc., Xometry Inc., Yelp Inc., ZipRecruiter Inc.

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The following disclosures relate to relationships between The Goldman Sachs Group, Inc. (with its affiliates, "Goldman Sachs") and companies covered by Goldman Sachs Global Investment Research and referred to in this research.

Goldman Sachs has received compensation for investment banking services in the past 12 months: Netflix Inc. ($77.65)

Goldman Sachs expects to receive or intends to seek compensation for investment banking services in the next 3 months: Netflix Inc. ($77.65)

Goldman Sachs has received compensation for non-investment banking services during the past 12 months: Netflix Inc. ($77.65)

Goldman Sachs had an investment banking services client relationship during the past 12 months with: Netflix Inc. ($77.65)

Goldman Sachs had a non-investment banking securities-related services client relationship during the past 12 months with: Netflix Inc. ($77.65)

Goldman Sachs had a non-securities services client relationship during the past 12 months with: Netflix Inc. ($77.65)

Goldman Sachs makes a market in the securities or derivatives thereof: Netflix Inc. ($77.65)

Distribution of ratings/investment banking relationships

Goldman Sachs Investment Research global Equity coverage universe

	Rating Distribution			Investment Banking Relationships		
	Buy	Hold	Sell	Buy	Hold	Sell
Global	50%	34%	16%	65%	60%	45%

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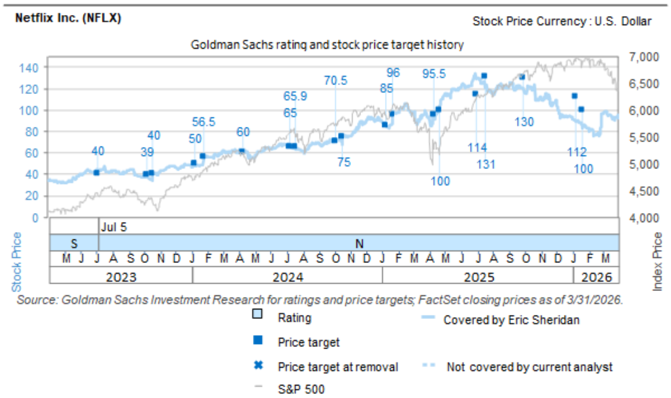
Price target and rating history chart(s)



The price targets shown should be considered in the context of all prior published Goldman Sachs research, which may or may not have included price targets, as well as developments relating to the company, its industry and financial markets.

Target price history table(s)

Netflix Inc. (NFLX)

Date of report	Target price ($)	Closing price ($)
06-Apr-26	120.00	98.93
21-Jan-26	100.00	85.36
09-Jan-26	112.00	89.46
29-Sep-25	1,300.00	120.64
18-Jul-25	1,310.00	120.92
02-Jul-25	1,140.00	128.49
21-Apr-25	1,000.00	98.79
11-Apr-25	955.00	91.83
22-Jan-25	960.00	95.40
08-Jan-25	850.00	87.50
18-Oct-24	750.00	76.39
04-Oct-24	705.00	71.97
19-Jul-24	659.00	63.33
08-Jul-24	650.00	68.57
09-Apr-24	600.00	61.82
24-Jan-24	565.00	54.49
09-Jan-24	500.00	48.21
19-Oct-23	400.00	40.18
09-Oct-23	390.00	38.60

Price targets shown in table(s) are unadjusted for corporate actions.

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